

Himadri Speciality Chemical Ltd. (HSCL)

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Ref: Listing Code: 500184

BSE Limited

Department of Corporate Services

P. J. Towers, 25th Floor,

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Mumbai- 400 001 Ref: Listing Code: HSCL

National Stock Exchange of India Ltd

Exchange Plaza, C-1, Block-G

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Mumbai- 400 051

Sub: Transcript of Earnings Conference Call for Financial Performance for the 4th Quarter and Financial Year ended 31 March 2025 held on Tuesday, 29 April 2025

Dear Sir/ Madam,

Further to our letters dated 24 April 2025, 26 April 2025 and 29 April 2025 and pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 ("SEBI Listing Regulations") read with Schedule III of the SEBI Listing Regulations and other applicable provisions of the SEBI Listing Regulations, we are enclosing herewith the transcript of earnings conference call for Financial Performance for the 4th Quarter and financial year ended 31 March 2025 held on Tuesday, 29 April 2025 at 4:00 p.m. (IST).

The above information will be made available on the Company's website at www.himadri.com

You are requested to take the same on record.

Thanking you,

Yours faithfully,

For Himadri Speciality Chemical Ltd

(Company Secretary &
Compliance Officer)

ACS: 29322

MANAGEMENT : MR. ANURAG CHOUDHARY – CHAIRMAN , MANAGING
DIRECTOR AND CHIEF EXECUTIVE OFFICER – HIMADRI
SPECIALITY CHEMICAL LIMITED
MR. SOMESH SATNALIKA – EXECUTIVE VICE PRESIDENT ,
CTD AND STRATEGY – HIMADRI SPECIALITY CHEMICAL
LIMITED
MR. KAMLESH AGARWAL – CHIEF FINANCIAL OFFICER –
HIMADRI SPECIALITY CHEMICAL LIMITED

MODERATOR : MR. BHAVYA SHAH – MUFG INTIME

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Q4 FY '25 Earnings Conference Call
April 29, 2025

MANAGEMENT : MR. ANURAG CHOUDHARY – CHAIRMAN , MANAGING
DIRECTOR AND CHIEF EXECUTIVE OFFICER – HIMADRI
SPECIALITY CHEMICAL LIMITED
MR. SOMESH SATNALIKA – EXECUTIVE VICE PRESIDENT ,
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LIMITED
MR. KAMLESH AGARWAL – CHIEF FINANCIAL OFFICER –
HIMADRI SPECIALITY CHEMICAL LIMITED

MODERATOR : MR. BHAVYA SHAH – MUFG INTIME

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Moderator: Ladies and gentlemen, good day, and welcome to the Q4 and FY '25 Earnings Conference Call of Himadri Specialty Chemical Limited hosted by MUFG Intime. As a reminder, all participant lines will be in listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Bhavya Shah from MUFG Intime. Thank you, and over to you, sir.

Bhavya Shah : Thank you. Welcome to the Q4 and FY '25 Earnings Conference Call. Today on the call, we have with us Mr. Anurag Choudhary, CMD and CEO; Mr. Somesh, EVP, Tyre and Strategy; and Mr. Kamlesh Agarwal, CFO. This conference call may contain forward -looking statements about the company, which are based on beliefs, opinion and expectation as of today. Actual results may differ materially.

These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict. Our detailed Safe Harbor statement is given on Page 2 of investor presentation of the company, which has been uploaded on the stock exchange and company website.

With this, I now hand over the call to Mr. Anurag Choudhary. Over to you, sir.

Anurag Choudhary: Thank you, Bhavya. Good evening, ladies and gentlemen. I would like to welcome you all to the Q4 and FY '25 Earning Call of Himadri Specialty Chemical Limited. It's a pleasure to

connect with you and share insights into our business strategy and outlook. More importantly, it's a moment of significance for us to reconnect and share the incredible journey we have been on. A journey marked by transformation and a deep-rooted purpose.

It started over three decades ago with a single-minded vision to create impact through innovation. What started as a small coal tar distillation unit in 1990 has today evolved into a global leader in specialty chemicals and new energy materials. At the heart of this evolution is our relentless focus on research and development, our belief in sustainable growth, and an unwavering commitment to deliver quality and value across everything we do.

We have, through relentless efforts, research and development and innovation over the last 35 years, developed a very strong, sustainable and growing business model. Today, we supply high-quality tailor-made coal package to our customers at most economical cost globally. This provides a strong value proposition and significant cost advantage for our customers.

Our commitment to delivering the highest standards of quality results in sustainable economic savings for our customers, thereby strengthening our collaboration and reinforcing our relationship. Through incremental improvements in operational efficiency and yields, we have successfully reduced cost and generated substantial long-term margins.

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By optimizing energy consumption and leveraging artificial intelligence capabilities across our operations, we have streamlined our processes. Over the years, we have built an integrated business model that spans across carbon value chain, right from coal tar pitch, specialty carbon black and new energy materials to high-value-added derivatives like naphthalene, SNF, PCE. Our pioneering work in specialty features for defense application such as long-range missiles has demonstrated not only our R&D capability but also our ability to innovate for greater good. Similarly, our developments in areas of lithium-ion phosphate, cathode active material, anode materials, circular economy products, treated blacks, co

nductive blacks, and zero impurity pitch

are testament to our innovative mindset and drive.

What differentiates Himadri today is the depth of our integration, the scale of our capabilities, and the strategic move we have and are making, each one thoroughly placed to address emerging industry trends and needs. Our products are today available in almost 56 countries, serving multiple critical industries, including lithium-ion batteries, EV, aluminum, graphite, tyre, inks, construction, plastics, paints, and many more.

During this financial year, Himadri was conferred with Company of the Year among the listed companies at India Chem 2024, which was organized by Ministry of Chemicals and Petrochemicals in partnership with FICCI and EY. Moreover, we were also awarded with the DET Hurun Award for outstanding contribution to India's manufacturing economy at India Manufacturing Excellence Award 2025.

This journey of growth has not been just about scale. It's about transformation. We have embraced the future through automation, AI-led analytics, and processing standardization and optimization. We have transitioned into a truly data-driven enterprise and our commitment to sustainability has been recognized globally from being awarded with EcoVadis Platinum medal, which places us in top 1% globally for sustainability practices to earning a commendable B rating in our very first CDP assessment for 2024, which is indicative of company that is taking coordinated action on addressing environmental issues. From a social lens, our efforts are recognized with Himadri bagging the prestigious Golden Peacock Award for Excellence 2024 at IOD 19th International Conference.

In terms of execution, we continue to deliver on scale and strategy. At Singur, our work on brownfield expansion of specialty carbon black line from 60,000 metric ton per annum to 130,000 metric ton per annum is progressing as planned and is expected to be operational by Q3 FY '26.

This will take our overall carbon black capacity from 180,000 metric ton per annum to 250,000 metric ton per annum, which will make this the single largest site for specialty carbon black facility in the world. This expansion will cater to the rapidly growing demand in specialty fiber blacks, conductive black, inks, plastics, coatings and battery segments, further strengthening our position as a global leader in this high-value-added segment.

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To enhance our value-added specialty product portfolio, we are once again forward integrating to set up capacity to manufacture anthraquinone and carbazole from our existing oils, a testament to our prudent strategy and innovative mindset. These products are essential ingredients for dyes, pigments, pharmaceuticals, and electronic industries and will add significant value across our value chain. These products are currently largely imported in India, and our objective is clear: To substitute imports with world-class domestic manufacturing and offer competitive global solutions. The high value-added specialty product line is scheduled to go live in Q2 FY'27. On the logistics and export front, the commissioning of our dedicated Liquid Coal Tar Pitch terminal at Haldia has opened new doors for global markets. In fact, our first export shipment was successfully dispatched in October 2024, a defining moment that paves the way for large-scale international liquid pitch supply. We have also made significant progress post our acquisition of Birla Tyres as a strategic partner along with resolution applicant, Dalmia Bharat Refractories Limited. This strategic entry into tyre manufacturing industry may look just like another example of forward indication for Himadri owing to our rich legacy of working with carbon blacks. However, it is important to note that

Himadri will not be selling any carbon black to Birla Tyres.

Birla Tyres will be able to source carbon black at much more economical rates from other suppliers. And Himadri will continue to tap into significant value-added market it has carved for its offerings in carbon black segment. Modernization and revamping efforts are well underway with operations set to begin in phases starting end of Q1 FY'26. We will focus on building a comprehensive product portfolio of specialty tyres to serve off-highway tyre segment. Simultaneously, we are working on installation of our passenger car radial tyre unit, which will take some time. This unit will have a strong focus on producing PCR tyres catered to meet the needs of EVs, SUV segment vehicles. We intend to lead the global e-mobility revolution by innovating next-generation tyres that can meet the evolving demands of a sustainable future, catering to domestic as well as global demands.

Our most transformational journey is now unfolding in field of lithium-ion battery components, a space critical to energy transition. The global lithium-ion battery market has experienced significant growth, reaching an estimated USD 97.88 billion in calendar year 2024 and is projected to grow at a CAGR of 14.58% over the next 5 years.

India's lithium-ion battery market too is experiencing rapid expansion and projections estimated growth from USD 4.47 billion in '24 to USD 16.09 billion in 2030, reflecting a CAGR of 23%. Moreover, the global EV market experienced significant growth, attaining a market size of USD 396.4 billion in 2024.

This expansion has been fueled by multiple key factors, including increasing environmental awareness, advancement in battery technology, government initiatives supporting EV adoption. Battery demand in India is expected to rise to 260-gigawatt hour by 2030, driven by escalating adoption of EV and renewable energy storage systems.

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India registered 8% penetration rate of EV in 2024, which was 6.5% in 2023. This traction is becoming more and more prominent with domestic producers. Tata announcing launch of premium yet affordable EV in this year and 2 giants, Tesla and BYD actively pursuing the EV car production plan in India. We are well on our way to EV30@30, which aims to see about 80 million EVs on road by 2030.

Indian government is also shaping the energy storage policy and regulatory framework to boost energy storage in the country. Apart from incentives to battery and carmakers, Government of India has been proactively taking progressive steps such as exemption of customs duty on imports of machinery and equipment, GST reduction, waiver of road tax that are aimed at making the EV growth smooth and their proposition economically attractive to the masses. Across major use cases, lithium-ion battery technology has established itself as the dominant technology owing to their marquee edge over other battery chemistries such as sodium-ion in terms of critical parameters such as energy density, cycle life, charging time, reliability, and portability.

Recognizing that cathode materials account for over half the cost of lithium-ion battery, we are positioning Himadri at the heart of global clean energy movement. By 2030, global demand for lithium-ion cathode material is expected to exceed 9 million tons annually. Lithium-ion phosphate batteries have emerged as a dominant battery technology in China's EV market according to over 60% of EV battery installation.

In 2024 alone, the share of LFP battery technology in the cumulative battery installation of China

was around 75%, up from 51.5% from the previous years. The potential growth of electric vehicles and grid scale energy storage system has propelled lithium-ion phosphate batteries to the forefront of global demand with over 70% of the automakers around the world

and now exploring

LFP chemistry for the next-generation models. And to meet this growing demand, we are establishing first commercial plant of LFP cathode active material globally outside China. Our vision is to build a capacity of 200,000 metric ton per annum of electric cathode active material plant sufficient to power 100 gigawatt per hour of lithium-ion batteries with the first phase of 40,000 metric ton per annum expected to be operational by Q3 FY '27. For us, this is more than a business opportunity.

It's a national building effort aligned with India's Atmanirbhar Bharat vision and its decarbonization goals. While cathode takes a center stage, our research and development team are also making remarkable strides in working on anode chemistry from natural, synthetic and hybrid anode material to next-generation silicon carbon for anodes.

We are exploring every viable chemistry to improve battery performance, density and charging time. In line with this, our collaboration with Sicona driven by shared vision and synergies has enabled us to accelerate the development cycle for silicon carbon anodes in a very short span of time. Our belief is simple. Battery breakthroughs won't just come from one component, but from a holistic mastery of the ecosystem.

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And as we innovate, we are also thinking ahead. The proliferation of lithium-ion batteries in the coming decade brings with it a new challenge, safe disposal and material recovery. I'm pleased to say that our teams are already exploring solution in these domains and showing Himadri is not just in creation, but also in circularity. At the same time, we are also working on developing technology to recycle different types of waste materials such as end-of-life tyres, used engine oil, lubricating oil, cooking oil to produce value-added products to build a circular economy. Beyond batteries, our ambition extends into leveraging nano technology, an area we believe will be a true game changer across multiple industries, leveraging our collaboration with Invati. Himadri team is working day and night to undertake development of disruptive solutions in domain of battery materials and technology. At the same time, we are also working on exploring niche use of this technology for crafting solutions in domain of agriculture, human and animal health.

At the core of everything we do believe is that the future will be shaped by those who can align industrial ambition with environmental responsibility. At Himadri, we are anchoring our growth in this philosophy, whether it's expanding into new markets, investing in technology, or building new capabilities, our actions are rooted in our desire to create long-term value responsibly and purposefully.

Every decision we have made, whether it is forward integrating into value-added chemicals, entering the tyre industry, or building the new energy material platform has been shaped by dual mandate to elevate India's industrial capabilities and to lead global chain in sustainable manufacturing.

By combining our deep value chain and expertise with frontier innovation, Himadri is not just responding to the needs and demands of a changing world. We are helping to shape it. We are doing so with the confidence that we are building an organization that will deliver sustained value to all our stakeholders, shareholders, customers, communities, and the planet. My humble request is for you to kindly go through our investor presentation in details as it covers all the aspects of our business.

With that, I would like to hand over the proceedings to our CFO, Mr. Kamlesh Agarwal, to walk you through the financial performance in details.

Kamlesh Agarwal: Thank you, Anurag ji. Good evening, everyone, and thank you for joining us today. I trust that everyone has had a chance to review our financial results and the

latest investor presentation,

which have been made available on both the stock exchanges and our company's website.

Over the last 5 years, we have demonstrated a consistent and robust financial performance, reflecting the strength of our strategic focus and execution. Since FY 2021, our revenues have grown at an impressive CAGR of 29%. More significantly, our EBITDA has expanded at a CAGR of 60%, and our PAT, profit after tax has grown at an exceptional 86% CAGR. These results are underpinned by enhanced focus on high-value specialty products and by a steady rise in our sales volumes, which has increased by 13% year-on-year during this period.

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Now turning to the stand-alone financial highlights for the full year FY '25. We closed the year with a strong performance across all key metrics. Our sales volumes grew by 16% to 552,206 metric ton, up from 475,582 metric ton in the previous year. This volume growth translated into a solid top line with total revenue reaching INR4,596 crores, marking a 10% increase over FY '24.

Our focus on operational efficiencies and cost optimization helped drive EBITDA higher by 33%, which stood at INR844 crores compared to INR632 crores in the last year. Our EBITDA per ton reached INR15,276 per ton, a 15% increase over FY '24. At the bottom line, profit after tax rose by 36% to INR558 crores as against INR411 crores in FY '24. These results reinforce our ability to deliver consistent and profitable growth even amidst a dynamic market environment.

In terms of financial health, we continue to maintain a resilient balance sheet. As of 31st March 2025, we hold a net positive cash balance of INR371 crores, which gives us ample flexibilities to pursue growth opportunities while maintaining a prudent approach to capital allocation. Our return on capital employed has also shown a steady upward trajectory, reaching 34% in FY '25, a testament to our sharp focus on value creation and capital efficiencies. [Inaudible 0:20:35] share of INR1 each, which represents 60% of the face value for the financial year 2024-'25. This is subject to the approval of our shareholders.

With these results, we believe we are well-positioned to continue our upward trajectory, building on a foundation of financial strength, operational excellence, and strategic foresight.

That's all from our side. We will now open the lines for question and answer.

Moderator: The first question is from the line of Sanjesh Jain from ICICI Securities.

Sanjesh Jain: I got a few questions. First, on the volume growth for this quarter, particularly last 2 quarters, it has been declining. Any particular reason there is a sudden pressure on the volume, which has stopped growing?

Anurag Choudhary: No, nothing like that. See, what is happening, we are focusing more on value-added products. So, when you focus on value-added products, the production volume comes down, but the value addition is more. That is one of the reasons. Other reason is that at the end of the financial year, there was a shipment which was supposed to go, which got deferred to next year. That was the main reason for little decline in the volume, nothing else.

Sanjesh Jain: Got it. When we say that we are focusing more on value-added product, the production is 50% almost is pitch, right? Which is liquid pitch we generally sell for -- sell to the aluminum smelters. Apart from that, we got the oils and other thing. When we say we are focusing on value addition products, how should we see?

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Anurag Choudhary: So value-added products are naphthalene of high purity that we are making. That is one of the very critical products for us. And other than that, specialty carbon black. So, when you convert from commodity to different grades of specialty, the

the volume comes down. So suppose a commodity product you are producing 100 tons, the specialty will be only 70 tons.

So that is one of the things. And it depends on which grade of specialty you are doing, which -- so that also the productivity changes. So, since we are going into value-added items, that is the reason. But overall volume will again be normal in current year.

Sanjesh Jain: So, in FY '26, now that in last 2, 3 years has been a super normal growth in terms of volume for us, do we expect the volume trajectory to hold on in FY '26 as well?

Anurag Choudhary: Yes, definitely, we expect the volume trajectory to hold on and grow further.

Sanjesh Jain: What's the expectation for the growth in FY '26 in terms of volume for us?

Anurag Choudhary: So total, if you look at our numbers, last year, we did a PAT of INR411 crores. This year, we did a PAT of on a stand-alone basis INR558 crores. So, by FY '27, we expect a PAT of INR800-plus crores.

Sanjesh Jain: 800 crores plus crores of PAT in FY '27?

Anurag Choudhary: Yes, yes.

Sanjesh Jain: Got it. Got it. The follow-up question is on the pitch. You did mention that we are looking for an export and we did a maiden shipment. How should we see the export opportunity in pitch?

Anurag Choudhary: The export opportunity is very bright in pitch. We are supplying material to different geographies. And in the current year, we expect the volumes to ramp up.

Sanjesh Jain: And this will be in what geography?

Anurag Choudhary: It will be in all the geographies, Middle East, Southeast.

Sanjesh Jain: Okay. Southeast and Middle East largely.

Anurag Choudhary: Yes. Largely.

Sanjesh Jain: Now changing to the carbon black. One of your peers did mention announced the result. We have seen some amount of pressure on the spreads on the carbon black. Are we seeing any pressure on the carbon black for us or its specialty, so we are largely protected?

Anurag Choudhary: We are largely protected. Our very minimum volume goes to tyre industry. So, we are largely protected. From our side, we don't see any pressure.

Sanjesh Jain: So sir, what is the large application?

Anurag Choudhary: So fiber black, conductive black, plastics, inks and coatings.

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Sanjesh Jain: Got it. And on the tyre business, can you help us understand where are we in the business commissioning? When should we see revenue coming up? Any thought process on our tyre business?

Anurag Choudhary: Yes, yes. So, we have been revamping the asset for last one year, and the process is on. So, we have already produced sample tyres and have given for BIS approval and expecting the approval in the next 25 to 30 days. Post that, we will commence production in phases. First phase will be 10, 20 tons, then we will gradually ramp up the production on a quarter-on-quarter basis.

Sanjesh Jain: Got it. Got it. So we should see some material revenue coming in from second half of this financial year. Will that be a fair assumption?

Anurag Choudhary: Yes. For second half of this financial year, you'll see some revenue coming in. But I think major revenue will start coming from the next year.

Sanjesh Jain: Next year. Got it. Got it. And any particular region we are focusing East India because we are closely placed there, or it will be more like a pan-India launch?

Anurag Choudhary: No, it will be not a pan-India launch because the volume we will be producing in the first phase will be very small to launch in a pan-India basis. We have selected 5, 6 states in which we'll start launching the product. Post that, once the production ramps up, we will be introducing new states.

Sanjesh Jain: Any particular state you want to highlight, 4, 5 states, which is our priority as of now?

Anurag Choudhary: That once we are going to launch, I will indicate.

Sanjesh Jain: Got it. My

last question is on the specialty value-added product, which we have announced a capex of INR120 crore. What is the potential asset turn we are looking in that?

Anurag Choudhary: Actually, INR220 crores.

Sanjesh Jain: Sorry?

Anurag Choudhary: What you are saying for the specialty carbon, specialty products.

Sanjesh Jain: No, no, specialty products, INR120 crores of capex.

Anurag Choudhary: It is 1.8 or 2:1.

Sanjesh Jain: So almost 2x of the -- so INR240 crores is the potential revenue... selling the less oil, right? So volume-wise, it will not change. There will be more realization gain, which will happen to us.

That is the base.

Anurag Choudhary: Right, right, right. So today, we are selling oil at suppose 40,000.

Sanjesh Jain: Correct.

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Anurag Choudhary: This product will be very high value-added product. So that will be the extra margin we'll be deriving from this chemical.

Sanjesh Jain: Got it. Volume remaining the same, we will benefit from higher realization, higher EBITDA per ton.

Anurag Choudhary: Actually, that is what we are doing.

Sanjesh Jain: No, that's also visible. Now that we are on probably one of the highest EBITDA per kg, we have hit what INR23 EBITDA per kg. Do you think there is more scope to improve from here or we should stabilize here? How should one see this?

Anurag Choudhary: We are on the full annual basis, we are INR15,276 EBITDA per ton. On a Q4 basis, it is INR17,008...

Sanjesh Jain: Correct. Sorry, my bad. INR17.1.

Anurag Choudhary: Yes, for metric ton EBITDA. And we are confident of maintaining this and strengthening it further.

Sanjesh Jain: Got it. Got it. There is no seasonality, right? It is also...

Anurag Choudhary: No, our business is not a seasonal business.

Sanjesh Jain: There's no seasonality in it, correct. Great, sir. So what is the capex number expected for FY '26 cash capex ?

Anurag Choudhary: Cash capex will be around INR600 crores to INR700 crores.

Sanjesh Jain: FY '26?

Anurag Choudhary: FY '26 through internal accrual.

Sanjesh Jain: All internal accrual.

Anurag Choudhary: Yes.

Sanjesh Jain: Thanks for taking all those questions so patiently and best of luck for the coming quarters.

Anurag Choudhary: Thank you so much.

Moderator: The next question is from the line of Aditya Ketan from SMIFS Institutional Securities. Please go ahead.

Aditya Ketan : Yes. Thank you for the opportunity. Sir, my first question is, sir, our total carbon black capacity stands at 180,000 tons. Out of this, 60,000 tons is the specialty carbon black. So the remaining 1.2 lakh ton capacity, now you have mentioned to an earlier participant that we are not very concentrated on the tyre sector. So this 1.2 lakh ton is basically the commoditized grade of carbon black, if I'm not wrong. So where are we selling this apart from the tyre sector?

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Anurag Choudhary: We are selling on non -tyre sector. There are different applications, which goes into -- in commodity also for plastics, for other applications, there we are selling.

Aditya Ketan: For plastics and this application, so specialty carbon black is used but the commodity goes through...

Anurag Choudhary: They are different grades of carbon black which goes in same application in different grades are there. So some grades are commodities, some grades are specialty. So like for MRG we are selling, for profiles we are selling, for hoses we are selling, for this conveyor belt, we are selling.

Aditya Ketan: Okay. Sir, any particular number if you can share, how much end user concentration is to the tyre sector, like 10%, 20%, 30%, -- any sort of figure?

Anurag Choudhary: So tyres in our case is less than 25%.

Aditya Ketan: Less than 25%. Okay. Sir, on to your new capex of the specialty

carbon black, which you are

planning to add 70,000 tons at a capex of INR220 crore. Sir, I believe the replacement cost looks very lower in case when we look at our competitor, so they are setting up a similar specialty carbon black line with a capex per ton of roughly around INR90,000. We are setting it up at a cost of around INR30,000 per ton. Sir, why there is so stark difference in our competitors' capex and our capex on a similar project like a specialty carbon black? Any thoughts on this?

Anurag Choudhary: That is the strength of Himadri. In fact, this question you should ask to the peer. That is the strength of Himadri to converting a low capex and a high ROCE. That's why our ROCE is 34%.

Aditya Ketan: Okay. Any sort of a technological difference, sir, can you highlight...

Anurag Choudhary: Technological difference is there. That's why we are setting up such a big unit, and we'll be the largest single -site specialty carbon black plant in the world. It's basically integration.

Aditya Ketan: Okay. And sir, any number if you can put like what sort of spreads -- can we make on the specialty carbon black? And what are we making on our existing specialty carbon black line of 60,000 tons?

Anurag Choudhary: We don't give product -wise margin. But to give you a broad number, specialty carbon black margin differs from 20,000 to 50,000, depending on what grade you are producing, what application you are selling to.

Aditya Ketan: Correct. And sir, where are we in this chain, like from 20 to 50, any sort of a number if you can share?

Anurag Choudhary: So number we don't share specifically for product -wise, but we are in this journey. We have started this journey 5 years back, and I think there is a long way to go.

Aditya Ketan: Sir, any idea on what the outlook for carbon black is, like for the next 2 to 3 years, like considering because we are not much dependent on tyre, where we are witnessing material weakness. So, other sectors, how are they expected to perform?

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Anurag Choudhary: With our order book and our contractual agreements, we are placed in a very good situation for next 2 to 3 years, clearly.

Aditya Ketan: Sir, just one last question. You had mentioned in your presentation that the Birla Tyres, the requirement of carbon black, will not be sourced from our facility. It would be from a third -party

player. Why is it so sir? Any sort -- like we are producing some higher grades, and we want to get some better realization as compared to like what Birla Tyre would be making a tyre. Any thoughts like why are we not focused on the integration part here?

Anurag Choudhary: See, for us, every business has its own P&L. We don't club P&L. So if Birla Tyre can get raw material at a better competitive rate and Himadri is able to sell its carbon black at a premium rate and getting more value, there's no point selling to Birla Tyres. So every business has its own vertical and look after their own P&L.

Aditya Ketan: Sir, if I may ask further on this. So, compared to like what you said, we might get raw material at better prices. So what would be the difference in realization of our versus the competitor, if any, which we can source the raw material for Birla Tyre?

Anurag Choudhary: So it's not a fixed difference. It changes on negotiation to negotiation. So till now, we are able to get a very good price compared to what we are selling in the market. And that is the reason we don't want to sell to Birla Tyre.

Moderator: The next question is from the line of Nischint Agarwal from Kohinoor Investment.

Nishant Agarwal: This is Nishant Agarwal here. Sir, I would like to know one is the PLI scheme. Have you applied for the PLI scheme?

Anurag Choudhary: So, Nishant, for us, there is no PLI scheme as on date. The PLI scheme is for advanced cell manufacturing. So t

he companies who are setting up a cell facility, they have applied and have been allocated by the government. In that there is a condition that you have to localize your procurement, and that percentage will increase year-on-year. And that is how the benefit will pass to component manufacturers like Himadri.

Nishant Agarwal: So in the future, are we going in for battery manufacturing as well?

Anurag Choudhary: No, no, no way. We want to focus on components. That is our business. That is where we have done all the efforts, R&D, innovation, and cell manufacturing is not our core, and will not go for cell manufacturing.

Nishant Agarwal: And next, sir, is the tyre division -- as we can see, all other companies' EBITDA margin or profit margins are in the range of 10% to 12%. So we'll be competing with them. And our margins are supposed to be in those range? Or are we going to be a little better than those companies?

Anurag Choudhary: See, I think it's too preliminary to predict the margins now. Let 1 or 2 quarters go. Let's see how we perform. And then I'll be able to give right numbers.

Nishant Agarwal: So our total capacity for the tyre division, if in case next year, we are running full-fledged, what would be the revenue, sir, from that?

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Anurag Choudhary: I don't think we'll be running full-fledged next year. So total capacity as on date is 400 TPD.

Nishant Agarwal: 400.

Anurag Choudhary: Different types of tyres. And we expect to ramp this up in the next 3 to 4 years' time.

Moderator: The next question is from the line of Shreya from Oaklane Capital Management LLP.

Shreya: Sir, I'm new to the company. So just wanted to understand, you said our volume in your prior comment you said the volumes have come down because we are moving towards the value-added products. However, if I do a simple math of the total revenue divided by the volumes, my per unit price realization is coming down. So, can you just help me how to look at this number?

Anurag Choudhary: So the raw material prices have also come down. So the selling price is a derivative of raw material prices. So that is the reason the prices have come down. Second, what is happening that when we go for value-added products, it is not significant in terms of volume. But in terms of profitability, it is very significant.

So it adds more to the bottom line rather than the contribution to top line. And the commodity material quantity reduces. That is the reason. And plus, in this year, our one shipment was deferred in the end of the March, which resulted in some reduction in volume compared to quarter-on-quarter. But if you see on a whole year basis, there has been significant improvement of 13%.

Shreya: Yes, yes. The volume has increased year-on-year. So that's where my question was coming from. So any sense on how much is the raw material prices, they have cooled off, how much?

Anurag Choudhary: So if you look at FY '24, the cost of goods sold were INR63,820. And this year, it is INR57,080. So it has come down by 10%.

Moderator: The next question is from the line of Prit from Wealth Finvisor.

Prit: Yes. So sir, my question is more regarding the macro aspect of Russia. I mean I believe that the reason the carbon black market has done very well is because the sanction on Russia came in and a lot of material started getting exported to Europe, which allowed even domestic market to do well. In the eventuality, whether if that changes, how will that impact our company? Could you please shed some light on that?

Anurag Choudhary: Yes, very good question. Actually, that is the differentiating factor. So our business model and

business that we have built is not based on opportunities. So unlike other companies, a lot of companies being impacted with what China is doing. And you will be pleased to know that there is no

impact of China on Himadri business model. We supply like -- just for example, we supply coal tar pitch to our customers in liquid form at a temperature of 260 degrees centigrade. And we are supplying to our customers at a price which is more or less ex China or less than China price. And even then, we are earning good profit. That is the integration. That is operational efficiency. That is really what Himadri has developed. Same for carbon black. So Himadri Speciality Chemical Limited
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carbon black, the focus why we have not kept on opportunistic market of commodity black is because the opportunity will come today, and it will be just time bound. But our reason is to have a sustainable long-term business, and that is where specialty comes into play. So we are not supplying to any opportunistic customers where -- this delta is there. That is the biggest strength of the company.

Prit: You have other peers who are supplying to that opportunity. So...

Anurag Choudhary: Our volumes are hardly anything. We are 180,000 tons. I don't have 1 million ton or 800,000 tons to sell. So I can very well see whom to sell and have selected customers who value for quality and long-term relationship.

Prit: Understood. So you're basically pretty confident of sustaining the current numbers and improving them as per your plan, as you explained over the next 2 years for the INR800 crore profitability that you are targeting today.

Anurag Choudhary: 100%.

Moderator: The next question is from the line of Darshan Shah from BS Investments .

Darshan Shah: So my questions are largely around the LFP business. First of all, have we signed any offtake agreement or MOU with OEMs or battery manufacturers for our LFP output?

Anurag Choudhary: No, not yet, but the samples have been approved. So what is the stage? Second, we have to sell -- send the samples to them from demo plant. And once that is approved, then the commercial plant, there will not be much time required for approving from commercial plant. So post that, only the MOU will be signed. So good thing is that we have got very favorable reply from the OEMs when we have sent the first few samples, the results have been very encouraging.

Darshan Shah: Okay. That is nice to hear. So then on the similar ground near post commercialization, how much revenue do you expect this segment to contribute in its first full year of operations?

Anurag Choudhary: So in first full year of operations, it will have a top line of around INR2,200 crores to INR2,400 crores at full capacity utilization. This is basis of today's market price.

Darshan Shah: Okay. And what is the target capacity of LFP by the year-end FY '26?

Anurag Choudhary: No, no. FY '26, there is no capacity. FY '27 Q3, we will have 40,000 metric tons up and running.

Darshan Shah: Okay. Okay. Got it. And your presentation mentioned it is for both domestic as well as exports. So then your focus would be towards what initially towards more of domestic or more of exports?

Anurag Choudhary: More of exports. Domestic, whatever material will be there, requirement will be there, we'll be meeting that. We'll be the only commercial manufacturer. And then we'll be growing our capacity depending on the domestic and international market, which will be huge.

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Darshan Shah: Okay. So in Phase 1 you mentioned somewhere around 1100...

Anurag Choudhary: Himadri is the only company -- will be first manufacturing plant in the world other than China for electric commissioning.

Darshan Shah: And finally, sir, since you did mention that it will be in FY '27, it will be up and running. The presentation mentioned INR1,130 crores of CapEx. How much can we expect it to -- to be booked for FY '26 and how much beyond FY '26 of the INR1,130 crores?

Anurag Choudhary: I think IN

R300 crores will be in FY '26 and balance, most of it will be in FY '27.

Moderator: The last question is from the line of Rudransh Kalra from MB Investments.

Rudransh Kalra : My question is precisely around Birla Tyres. So what are the segments that initially you want to get into the tyre segment? Is it off-highway first or is it passenger vehicle? Or is that going to be happening simultaneously? And also, are you also going to get into the mainstream 1000x 20 [inaudible 0:47:11] tyres?

And the other question along those -- along the tyre industry is what sort of business model are

you going to be -- what sort of like dealer network or distributor network are you planning? So as you just mentioned earlier, you were saying that initially you have like you're going to have a limited capacity.

So would you want to go in bigger cities? Or would you want to go in places where the business is more? So how will you strategize it if you could tell me the product and the distribution or the dealer network? That would be really great.

Anurag Choudhary: Sure, sure. So initially, the target will be to sell agri tyres and mining tyres, along with that bias tyres for the commercial vehicle. And next phase will be passenger car radial tyres and EV tyres, third phase. Plus in addition to that, we'll be moving on to specialized tyres over the years.

So it is going to be a journey of next 3 to 5 years, where the entire tyre transformation will happen starting from bias for commercial to EV, PCR and OHT tyres. Regarding dealer network and all that once we launch our product, we will come up with a full report on that and that is time, I'll be love to share that.

Rudransh Kalra: Just a follow-up question. So just in case you decide to get into the not -- particular dealer and specialized dealer distributorship, so what is -- do you want to grow slow once you hit the -- once the production starts and once you have the capacity to dispose them in the market. So do you want to just get into -- just appoint 1 distributor and then dealers? Or is it going to be regional dealers? And then, how is it going to be like at least strategy, you must have thought something about it?

Anurag Choudhary: We have our strategy fully aligned and made and that is very much in place. So at the right point of time, I'll disclose the strategy, not now.

Moderator: The next question is from the line of Anubhav from MC Research .

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Anubhav: So I wanted to understand what is the export share for our carbon black business, maybe in terms of volumes or sales? And at the industry level, if you could also share what is the net export level in the industry.

Anurag Choudhary: So in the overall top line for FY '25, our export sales was 27% in terms of total sales.

Anubhav: Okay. So but specific to carbon black, could you share what could be the exposure to exports?

Anurag Choudhary: Exposure to export for carbon black would be around 35% to 40%.

Anubhav: 35% to 40%. And for the industry level, would you have any data like approx how much would be the Indian carbon black industry would have an export exposure?

Anurag Choudhary: Much less. Okay.

Anubhav: And my last question was regarding a specialty product, which we are eyeing for carbazole. If you could illustrate a couple of applications, I mean, how -- for example, for pharma, electronics, I mean, what are the end users?

Anurag Choudhary: Carbazole is used for making violet in the pigment industry. That's the only way of making violet. So currently, it is being imported, and they are very niche producers of carbazole. So Himadri will be one of the first companies to do that.

Anubhav: Okay. And sir, for the pharma industry. [Inaudible]

Anurag Choudhary: Specific application.

Moderator: In the interest of time, that was the last question for today. I now hand the conference over to

the management for closing comment.

Anurag Choudhary: Just one second. If you have more questions, you can take -- people who are having more questions, we are okay with it. You can take, please.

Moderator: The next question is from the line of Yash who an Individual Investor is .

Yash: Congratulations, first of all, for amazing set of numbers. I just wanted to know majority of my questions have already been covered. I just wanted to confirm what is the vision that we have, let's say, down the line, 3 years, 4 years from here in terms of market share, in terms of revenue and profitability?

And the second question is, I saw one slide where we have mentioned the uses in electronic items and some pharma and some, I think, missiles applications also. Can you please elaborate on that part? Like what are we doing exactly on those segments?

Anurag Choudhary: See, we have given a clear guidance that FY '27, our PAT will be INR800 plus so that clearly lays down the road map for growth, and it will be coming from all around business from our existing business and the new businesses that we are entering and the capacities which are setting up.

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Right from specialty chemicals like anthraquinone, carbazole from higher revenues in terms of exports, for coal tar pitch from the capacity expansion of specialty carbon black and there is much, much more to come.

If you go to next year, FY '28, then that will be a year where your LFP will be in full production, your other products, which we are also in pipeline, they will also start. So every year, you will see very strong numbers coming up. We make a very specialized pitch, which goes into DRDO for using long range missiles. Beyond this, I cannot disclose. It's an NDA.

Yash: Okay. That's amazing, sir. That's amazing to hear that we have long-term visibility and sustainability in terms of number and profitability and revenue share. Also, how do you see this as an opportunity in terms of this DRDO tie-up and defense, given that the whole Europe thing is now revamping their own defense capacities as you guys focus more on the export part. Do we see any more addressable market over there?

Anurag Choudhary: It's a very niche market and definitely growing at a good pace. Does that answer your question?

Yash: Actually, I cannot hear you. The voice was not audible in between.

Anurag Choudhary: Coal tar pitch for defense application we are selling is very niche application, and it is growing year-on-year.

Yash: So like currently, like how much percentage is that sizable amount as of now? Or will it be sizable amount in terms of percentage going ahead, maybe FY '28 and way forward from there?

Anurag Choudhary: It's sizable amount, but we don't want to give a number to that.

Moderator: Ladies and gentlemen, that was the last question for today. I now hand the conference over to the management for closing comments.

Anurag Choudhary: So thank you, everyone. Thank you for your support, and thank you for your trust in Himadri. Thank you Bhavya.

Moderator: Thank you on behalf of MUFG Intime that concludes this conference. Thank you for joining us, and you may now disconnect your line.

Call: Jul 2025

Ref. No: HSCL / Stock-Ex/2025-26/66
Date: 23/07/2025
E-mail: monika@himadri.com

Ref: Listing Code: 500184
BSE Limited
Department of Corporate Services
P. J. Towers, 25th Floor,
Dalal Street,
Mumbai- 400 001 Ref: Listing Code: HSCL
National Stock Exchange of India Ltd
Exchange Plaza, C-1, Block-G
Bandra Kurla Complex,
Bandra (E)
Mumbai- 400 051

Sub: Transcript of Earnings Conference Call for Financial Performance for the 1st Quarter ended 30 June 2025 held on Friday, 18 July 2025 Dear Sir/ Madam,
Further to our letters dated 15 July 2025 and 18 July 2025 and pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 ("SEBI Listing Regulations") read with Schedule III of the SEBI Listing Regulations and other applicable provisions of the SEBI Listing Regulations, we are enclosing herewith the transcript of earnings conference call for Financial Performance for the 1st Quarter ended 30 June 2025 held on Friday, 18 July 2025 at 03:30 p.m. (IST),

The above information will be made available on the Company's website at www.himadri.com

You are requested to take the same on record.
Thanking you,

Yours faithfully,
For Himadri Speciality Chemical Ltd

(Company Secretary &
Compliance Officer)
ACS: 29322

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Q1 & FY '26 Earnings Conference Call

July 18 , 2025

MANAGEMENT : MR. ANURAG CHOUDHARY – CHAIRMAN AND
MANAGING DIRECTOR & CHIEF EXECUTIVE OFFICER
MR. SOMESH SATNALIKA – EXECUTIVE VICE

PRESIDENT (TYRE & STRATEGY)
MR. KAMLESH AGARWAL – CHIEF FINANCIAL
OFFICER
MODERATOR : MR. BHAVYA SHAH – MUFG INTIME

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Moderator: Ladies and gentlemen, good day and welcome to Q1 FY '26 Earnings Conference Call of Himadri Speciality Chemical Ltd, hosted by MUFG Intime.

As a reminder, all participant s' lines will be in the listen -only mode . And there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing “*”, then “0” on your touch -tone phone.

Please note that this conferenc e is being recorded. I now hand the conference over to Mr. Bhavya Shah from MUFG Intime. Thank you and over to you , sir.

Bhavya Shah: Thank you. Welcome to the Q1 FY '26 Earnings Conference Call.

Today, on the call, we have with us Mr. Anurag Choudhary – CMD & CEO, Mr. Somesh – EVP (Tyre & Strategy), and Mr. Kamlesh Agarwal – CFO.

This conference call may contain forward -looking statements about the company, which are based on beliefs, opinions , and expectations as of today. Actual results may differ materially. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict. A detailed Safe Harbor statement is given on Page 2 of the investor presentation of the company, which has been upl oaded on the stock exchange and company website.

With this, I now hand over the call to Mr. Anurag Choudhary . Over to you , sir.

Anurag Choudhary : Thank you, Bhavya. Good afternoon, ladies and gentlemen. On behalf of Himadri Speciality Chemical Ltd, I am pleased to welcome you all to our Q1 FY '26 Earnings Call . We deeply value your continued support and engagement.

We are delighted to s hare that Q1 marks a strong and focused start to the new financial year. It reflects the strategic direction we h ave undertaken , one rooted in capacity expansion, technology -driven product development, and deeper global integration. These initiatives are aligned with our commitment to build a future -ready, diversified, and sustainable organi zation. This quarter was particularly significant as it reflects the core spirit of “Himadri Reloaded, The Next Chapter ”. This Phase is more than just a theme, it captures the mindset driving us forward, reimagining what's possible through innovation, resilience, and sharp executi on.

From a financial standpoint, we are pleased to report our highest -ever EBITDA and PAT, underscoring the strength and stability of our operations. EBITDA stood at Rs. 234 crores, while PAT came at Rs. 183 crores on a standalone basis . This performance was led by an increase in sales of high -value added products, better operational efficiencies, improvement in yield, and

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strong waste heat recovery systems. While the revenue growth was marginally impacted due to correction in raw material prices, our prof itability trajectory remains on a firm, sustainable upward path.

At the core of our business lies a deep commitment to developing innovative solutions that drive customer satisfaction, powered by our robust in -house research and development. Much like our highly -integrated manufacturing capabilities, this enables us to effectively cater to the evolving demand of the sunrise sector s.

We deliver high -performance products across diverse segments including lithium -ion batteries, paints, plastics, tyres, techni cal rubber goods, aluminum , graphite electrodes , agro -chem, defense and construction chemicals . Our sharp focus on quality, process control, and innovation continues to keep us ahead in a rapidly evolving global landscape.

Post the successful acquisition of Birla Tyres Limited by Himadri Speciality Chemical Ltdstrategic partner, along with resolution applicant - Dalmia Bharat Refractories Limited in October 2023, significant efforts have been directed towards mo

dernizing and revamping the
Birla Tyres plant at Balasore.

During the quarter, tangible steps have been continued to be taken to advance the transformation agenda. With operations now having commenced at Birla Tyres, making a pivotal milestone in the journey to establish the high -performance, future -ready, speciality tyre brand. A refreshed brand identity was introduced, featuring a modern ized logo and our redesigned corporate website

to reflect this strategic shift.

We are pleased to inform you there has been a huge brand recall we have seen from the market. The focus is on building a comprehensive product portfolio of speciality tyres, catering to off-highway tyres, commercial vehicles, agriculture, industrial and electric vehicles. Progress on commissioning the passenger car radial tyres remains on track. This unit is designed to meet the specific requirements of EV and SUV segments, supporting expansion in both domestic and export markets. Additionally, a targeted multi-platform marketing campaign is being developed to enhance brand recall and engage effectively with contemporary customers.

In parallel, we have made significant progress in building our clean tech and new energy material vertical, a pillar that will define Himadri's next growth wave. We entered into an exclusive technology licensing agreement with SiCona, an Australian innovator in silicon carbon and anode material. Their SiC_x technology, proven to enhance energy density by 20%, and charging speed by 40% gives a strong edge in the evolving EV and storage market. With this agreement, we have taken strong steps towards localizing this technology and bringing it to scale in India. In addition to that, we invested in International Battery Company, IBC, a US-headquartered technology developer and manufacturer of chemistry agnostic prismatic lithium-ion cells,

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acquiring 16.24% equity stake. IBC has an established manufacturing facility in South Korea which began operation in 2023 and is coming up with a gigafactory in Bengaluru through its joint venture with Mahanagar Gas Limited subsidiary. This gigafactory is expected to be operational by Q4 FY '26.

Our advanced materials jointly tested with IBC have demonstrated outstanding results, fulfilling their stringent requirements for high-performance battery manufacturing. This is a significant milestone for the company as it marks the start of commercial deployment of Himadri LFP cathode active and anode material with IBC presently developing its LFP-based Prabal 2000 using Himadri's battery materials. This partnership also opens doors to IBC's global customer base across US, India, and East Asia.

While this initiative shapes our future, we continue to strengthen our core. With an established high-temperature liquid coal tar pitch terminal already operational at Halodia, we have now commissioned a new terminal at Mangalore. This expansion significantly enhances our logistic capabilities and export competitiveness. In parallel, we are setting up a unique facility, the first of its kind in India, to extract high-value added chemicals like anthraquinone and carbazole from our existing coal-tar distillates, which is expected to be commissioned in Q2 FY '27. This will help us to reduce India's dependence on import and unlock greater value from our integrated operations.

We are also entering the consumer segment with the launch of Durofresh™, our high-purity naphthalene balls retail brand. Backed by 99.5% purity and stain-free performance, Durofresh™ sets new benchmarks in vapor strength and long-lasting freshness, reinforcing our technical leadership in refined naphthalene market. Meanwhile, our brownfield expansion of 70,000 metric tonnes per annum in speciality carbon black is progressing well and is on track to be commissioned by Q3 FY '26. With

this, our speciality carbon black capacity will more than double to 1,30,000 metric tonnes, making it the single largest speciality carbon black site in the world, and places amongst the top five speciality carbon black producers globally. As part of Himadri's vision to become a global frontrunner in production of lithium-ion phosphate cathode active material powering 100 gigawatts of lithium-ion battery capacity, we are making steady progress on Phase 1 of this journey. This Phase involves setting up the world's first commercial LFP manufacturing plant outside of China with a planned capacity of 40,000 metric tonnes per annum. The project is progressing as scheduled and is expected to be operational by Q3 FY '27, with full-scale operations commencing in FY '28. This facility marks a significant milestone not only for Himadri but also as a step towards a new era. As we look forward, we are entering a new Phase, one that is bold, transformative and purpose-driven. With a robust pipeline of technologies, disciplined execution and clear roadmap, we are confident of delivering sustainable and profitable growth. The next three years will be defining years for Himadri's new age materials, deepen our global presence and capture opportunities

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across energy transition, speciality chemicals and downstream value chain. We thank you for your continued trust and support as we script this new chapter of growth, Himadri Reloaded.

With that, I would like to hand over the proceedings to our CFO – Mr. Kamlesh Agarwal, to walk you through the financial performance in detail .

Kamlesh Agarwal: Thank you, Anurag ji . Good evening , everyone . And thank you for joining us today. Hope everyone has had a chance to review our financial results and the latest investor presentation which have been made available on both the stock exchanges and our company's website.

We have commenced the financial year with a clear focus on execution, operational excellence and disciplined financial prudence. Let me begin with the key financial highlights of the quarter. Sales volume has increased to 1,40,090 metric tonnes as compared to 1,39,175 metric tonnes a year ago. Consolidated revenue for the quarter stood at Rs. 1,118 crores as compared to Rs. 1,200 crores a year ago. The revenue was marginally impacted majorly because of correction in raw material prices which led to the reduction in the finished goods prices.

Our EBITDA stood at Rs. 235 crores as compared to Rs. 188 crores a year ago with a growth rate of 25%. Our PAT has significantly increased to Rs. 179 crores from Rs. 123 crores a year ago, with a growth rate of 46%.

On a standalone basis, the revenue for the quarter stood at Rs. 1,100 crores as compared to Rs. 1,200 crores a year ago. Our EBITDA stood at Rs. 234 crores as compared to Rs. 188 crores a year ago , with a growth rate of 25%. Our PAT has significantly increased to Rs. 183 crores from Rs. 123 crores a year ago with a growth rate of 48%.

Our company's net debt was Rs. 107 crores for Q1 FY '26 while ROCE was 32% , excluding investment and capital work in progress as of 30th June , 2025. We remain committed to delivering strong value through our strategic priorities and operational rigor.

That's all from our side. We will now open the lines for questions and answers.

Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is in the line of Sanjesh Jain from ICICI Securities. Please go ahead.

Sanjesh Jain: Thank you. Thanks for this opportunity. I have a few questions. First on the graphite, today there was a news article telling that US has put some 93.5% EDD or has proposed to put 93.5% EDD on Chinese graphite and we intend to be in the anode active material , how do we see this as an opportunity ? Because we have generally s

poken about cathode, not so much on the anode , are we looking to harness this opportunity as well?

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Anurag Choudhary : Yes. Good afternoon, Sanjesh. So, the effective duty will be 165%. Already there is a duty on Chinese anode with this additional duty coming in. This is a great opportunity for us to supply material to US.

Sanjesh Jain: What exactly are we looking to export ? Because in anode we have not spoken much about and we have not announced any CAPEX , can you give more color on the anode side of the business?

Anurag Choudhary : So, anode, we have been doing a lot of research and development . And our work is progressing very strongly. And at the right point of time we will announce the CAPEX . Now we are working on the engineering part of it. Once the engineering is completed, we will announce the CAPEX and time frame with capital investment.

Sanjesh Jain: But right now we have not announced anything on anode ?

Anurag Choudhary : No, nothing. But we are making a lot of groundwork for that in terms of customers ' approvals, sending samples across geographies to OEMs. All those things are already moving very fast.

Sanjesh Jain: Got it. My second question is on the volume growth. Last year we had a very healthy volume growth , upwards of 15 %, 16%. Now that volume growth looks to be tapering down . How are we planning to see that we sustain the volume growth at least 8 %, 10%?

Anurag Choudhary : Definitely we are looking forward. From Q4 onwards you will see a strong volume growth once the carbon black capacity will come in place in Q3. So , from Q4 you will see that capacity coming up. In addition to that , we are debottlenecking some coal tar pitch capacity also , that will also come into play. So , from Q3 -Q4 you will see volume growth also coming up.

Sanjesh Jain: How much debottlenecking and coal tar distillation are we looking at right now?

Anurag Choudhary : So currently we are at 5 ,00,000 metric tonnes . We are looking at debottlenecking another 1,00,000 metric tonnes .

Sanjesh Jain: So from 5 ,00,000 we will go to 6 ,00,000 metric tonnes ?

Anurag Choudhary : Right.

Sanjesh Jain: And this should be commissioned by?

Anurag Choudhary : By Q3. So this is not commissioning. This is just debottlenecking, so there is no commissioning at one go. You will see quarter -on-quarter improvement in the numbers from next quarter onwards.

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Sanjesh Jain: And this volume constraint what we are seeing is purely because of the capacity utilization and not that we have seen any softening in demand?

Anurag Choudhary : No, no. Like carbon black we are running at 99% We are at very high capacity utilization. So this is because of the capacity constraint not because of demand issues. So , basically if you look at the turnover also , the top line compared to the previous corresponding quarter last year came down by Rs. 100 crores , whereas the volumes are more or less same. The reason is the raw material price has considerably corrected and because of that the finished price has also come down.

Sanjesh Jain: That we appreciate. That I got when you initially made that remark. But purely on the carbon black we have seen Ori on Carbon Black announcing a planned shutdown in Europe region. Is it more of a speciality or it is more of a rubber carbon black? The question is that do we see that as an opportunity as well for Himadri?

Anurag Choudhary : Yes definitely. Since we are strong in Europe , we definitely look forward to that as a great opportunity.

Sanjesh Jain: So how much of our carbon black today is sold in Europe?

Anurag Choudhary : So, you can say currently we are exporting around 15 %-18% of our carbon black to European market.

Sanjesh Jain: Okay. So, the export contribution of Europe in carbon

black is almost 15 %-20%?

Anurag Choudhary : Yes.

Sanjesh Jain: Got it. And the last one is on the gross profit per kg , that looks like improving secularly. Now we are 15% Y-o-Y growth or 16% Y-o-Y growth , what is this driving a consistent steady increase in the gross profit per kg? That's number one.

Number two sir, when you say that you have seen favorable product mix, when you say favorable product mix can you elaborate which product has grown faster where the margins are higher , and which product we are curtailing where margins are lower? Some color on the mix would help us appreciate this improvement in the gross profit and EBITDA per kg.

Anurag Choudhary : Sure. So , the product mix has changed. Like we were doing more percentage of crude naphthalene , now the percentage of refined naphthalene has significantly improved. Second, in terms of speciality carbon black, we are moving up in the ladder of speciality carbon black. With that, the per metric tonne margin keeps on improving. And regarding the gross margin, we have been able to improve on the gross margin basically because of operational efficiencies, improvement in yield and reduction in wastage.

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So, we have also installed waste heat recovery system which helps us to recover all the high temperature gases can be used and used in the heating back in the process. So , all this together has been helping us to improve on our gross margin and plus high value-added products like I told refined naphthalene, very high grade of refined naphthalene that has higher value addition, high grades of speciality carbon black, specialized patches going into defense. All these things are helping us to improve on the margins. And these are sustainable.

Sanjesh Jain: And how much more can we grow from here on EBITDA per kg? We are already at Rs. 17 EBITDA per kg , how do you see this number going in say FY '26 and FY '27?

Anurag Choudhary : We are confident of this number being maintained , and gradually you will see upward movement in these numbers. I do not want to give specific numbers but yes, for sure you will see upward movements.

Sanjesh Jain: Very clear , sir. Some questions from the tyre business , now that we have started branding and all. Have you started the production and sales as well or right now we are focusing on the softer side of the market?

Anurag Choudhary : No, we never did any softer side, nothing went free. From day one we have been dealing with consideration. So , for June quarter we did sales of Rs. 18 crores, sorry Rs. 5 crores from tyre business and it just started on the 29th of May. So now in the current quarter you will see slight ramp up and quarter -on-quarter you will see improvement. But one thing is there, when we are going to the market we have already appointed 20 distributors and below these distributors there are many dealers , like every distributor has ranging from 8 to 20 dealers. So , we are getting very strong brand recall from the market. So, people are highly appreciating our brands like BT112, Ultra Mileage, Kalapatthar. All these are very well appreciated in the market. And when we are going to the customers, when they are saying Birla Tyres is back, we are getting very, very good response.

Sanjesh Jain: So we have appointed the distributor, dealers , and this is what, mainly into the east region?

Anurag Choudhary : No, no, like already we have appointed in 11 states and every quarter this will be increasing.

With our increase in production, like every quarter you will see increase in production and higher capacity utilization. So with that you will see more and more states being captured.

Sanjesh Jain: Got it, got it. Just one last bookkeeping question, we have this first-time purchase of stock of Rs. 57 million or Rs. 5.7 crores, what is this?

Anurag Choudhary : What?

Sanjesh J

ain: Purchase of stock in our cost of goods sold, there is Rs. 5.7 crores of purchase of stock which we have sold, what is this?

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Anurag Choudhary : So, actually we have as a 100% subsidiary of Himadri Clean. So that is buying from DBRL, the tyre they are making and selling. So, it is the marketing arm of Himadri, that is what the stock purchase is for.

Sanjesh Jain: Okay. But in consol level that should get knocked off, right, but this I am seeing in consolidated.

Anurag Choudhary : Consol it will come because we are buying from the outside entity, we are buying from DBRL. That's why it is coming in the consol as a separate entity, separate line item.

Sanjesh Jain: When is this entity expected to come within the Himadri? Because I thought that manufacturing --

Anurag Choudhary : No, there is no intention as such now as of date of its coming into Himadri.

Sanjesh Jain: Okay, I will take this offline for more clarity, but this is very clear. Thank you very much sir and best of luck for the coming quarters. Thank you.

Moderator: Thank you, sir. The next question is from the line of Rehan Syed from Trinetra Asset Managers. Please go ahead.

Rehan Syed: Good afternoon, team. And thank you for giving me the opportunity. So, sir, I have a couple of questions regarding this. So, sir, first of all, can you please elaborate on how Invati product integration and revenue synergy panned out in Q1? And any visible contribution or pipeline build out from this acquisition for going forward?

Anurag Choudhary : So, Invati has developed nanotechnology for battery material and this is in development stage. So, looking forward, once it materializes and the technology matures, then we will have very big difference in terms of what we will be able to produce in terms of raw material component for lithium ion battery. Currently, they are selling some products in terms of animals and agriculture products out of which the top line this quarter was Rs. 3 crores and Rs. 1 crores of PAT.

Rehan Syed: Okay sir. Sir, my next question is towards your B2C brand DurofreshTM, how is it performing in Q1 in terms of distribution, revenue or contribution? How are any early customer feedback you get? Or for going forward, are you targeting this segment aggressively in FY '26 and FY '27?

Anurag Choudhary : You please speak clearly, which company you are asking for?

Rehan Syed: Sir, I am from Trinetra Asset Manager. Sir, now I am clear?

Anurag Choudhary : No, no, no.

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Rehan Syed: Sir, I am talking about B2C brand DurofreshTM.

Anurag Choudhary : Okay, okay. So, DurofreshTM, we are the largest manufacturers of naphthalene in India with 68% market share. So, historically, we have been selling crude naphthalene and now we are selling refined naphthalene in a big way. So, the next step is mothball. So, mothball is a significant value addition to the refined naphthalene. So, this is the first time Himadri is going to B2C segment. So, we are launching this brand DurofreshTM. And looking forward, we look for a very strong demand from the entire country and from export market.

Rehan Syed: Okay. Okay sir, last one question, sir, any future guidance regarding EBITDA margin or revenue growth you are targeting for two to three years down the line?

Anurag Choudhary : So, as we have already told in our last call also, we expect our net profit to double from FY '24 to FY '27.

Rehan Syed: And for EBITDA margin, sir?

Anurag Choudhary : EBITDA, we do not look at EBITDA margin, we look at more EBITDA per metric tonne. Because the raw material prices and finished product prices fluctuating, the margins can always fluctuate. Like today it is 21%, last quarter it was 17%. So, this can fluctuate. So, our EBITDA per metric tonne margin is around R

s. 16,500 now.

Rehan Syed: Sure, sir. Thank you for your answer . And thank you for your question.

Moderator: Thank you, sir. The next question is from the line of Pruthi Shah from SAS Capital. Please go ahead.

Pruthi Shah: Hello, thank you for this opportunity. I have a question. Sir, my first question is that how are you positioned against global competitors in the high margin speciality carbon and battery material segment?

Anurag Choudhary : See, Himadri has an inherent strength that for speciality carbon black we have our own raw material. So, when we do coal tar distillation, we produce oil which is very clean oil and very consistent in terms of quality. Our sulphur content is 0.002%. Plus, there is hardly any impurities in the oil. This gives Himadri an inherent edge in terms of speciality carbon black compared to any of the peers globally.

And regarding lithium ion battery component materials, we have developed technology for LFP in-house. And a pilot scale product we have supplied to many customers and have got very good response from them. And one clear evidence is from IBC. We have supplied samples to IBC for LFP and anode. So, after doing a diligence test of one year, we were inspired by the quality of Himadri LFP and anode that they themselves came forward for our collaboration.

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And Himadri being the only company outside China who is coming out with the first plan t for lithium ion phosphate, it's a big advantage, first mover's advantage. Same in anode also. Anode, we have done a lot of groundwork. Now, only thing is that at the right point of time we will announce the capacities also and CAPEX with the timelines once the engineering and everything is completed.

Pruthi Shah: Okay, okay. My second question is, what percentage of your revenue now comes from export ? And how are global carbon black and advanced material marketing behaving?

Anurag Choudhary : So, 34% of our revenue is coming from export. And there is huge opportunity in the global market . With the current geopolitical situation India is at a much -preferred stage compared to any of the countr ies we are competing with.

Pruthi Shah: Okay. Thank you.

Moderator: Thank you, ma'am. The next question is from the line of Vikas Gupta from RG Capital. Please go ahead.

Vikas Gupta: Yes, thanks for taking my question. S ir my first question is, can you shed some light on the LFP based Prabal 2000 , what stage is it currentl y at? And what kind of demand outlook do you foresee for this product in the near to medium term?

Anurag Choudhary : See, IBC has already launched one prismatic cell with the branding Prabal 1000. So, Prabal 1000, the chemistry is NMC. So, now they are goin g to launch in next one -year time Prabal 2000, which will be with LFP chemistry. And this LFP chemistry and anode material is being built around Himadri raw material. And the market for this is huge. You know the market for lithium ion cell is very large. And LFP now being used in both the segment, BSS and EV has huge market potential.

Vikas Gupta: Understood, sir. S ir my next question is that there was a noticeable increase in the other income in the profit and loss statement this quarter , could you please provide the clarity on the key components or sources of this increase?

Anurag Choudhary : So, other income has increased basically because of we have taken loans, we have issued commercial papers and deposited as fixed deposit in bank. So the delta between that has helped us to improve on our other income. In addition to that, the investment what we have made, some change has happened in the fair value of that, minor changes, which has also helped to increase the other income.

Vikas Gupta: Okay, all right . Understood, sir. And s ir my last question is that , with your recent foray into the refined naphthalene ball segment

under the brand Durofresh™, could you elaborate on the

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pricing strategy and what differentiates this product from existing offering in the market that would drive consumer preferences?

Anurag Choudhary : So, one thing which will really drive this is the purity of the naphthalene. We produce the highest purity grade of naphthalene in India and I can rather say one of the highest in the world. We are supplying already, we are the largest supplier to mothball market in US. There is a company called Billet who are the market leaders in mothball in US and they buy more than 70% of their requirement from Himadri. Only because the reason being that our quality and our purity levels

are very high. So, with this , and Himadri being backward integrated, being the largest player in naphthalene, so we have a natural edge compared to anyone else who is buying naphthalene and then purifying it and then selling as mothball.

Vikas Gupta: Understood, sir. Thank you. That's all from my side, sir.

Anurag Choudhary : Thank you.

Moderator: Thank you, sir. The next question is from the line of Prathamesh Dhiwar from Tiger Assets. Please go ahead.

Prathamesh Dhiwar: Yes, most of my questions are answered, sir just one thing. I think we mentioned we are going to double our PAT by FY '27, so around Rs. 1,000 crores to Rs. 1,100 crores of PAT we are targeting by FY '27, is it right?

Anurag Choudhary : No, I told we are doubling from FY '24.

Prathamesh Dhiwar: Okay. Got it. Got it, sir.

Anurag Choudhary : Thank you, sir.

Moderator: Thank you, sir. The next question is from the line of Vivek Gupta from Star Investment. Please go ahead.

Vivek Gupta: So, in your presentation, you have indicated that additional CAPEX is planned for the Birla tyre segment beyond the Rs. 300 crores already outlined. Could you please share an estimate for the incremental CAPEX involved and the expected revenue contribution from this additional investment?

Anurag Choudhary : See, we are doing it in Phases, so it will be done over a period of next three years. So, in total, we are yet to come out with a total number. But ballpark figure as of now during the current year will be around Rs. 250 crores to Rs. 300 crores additional CAPEX compared to what we have invested.

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And this will continue for next two years since we will be ramping up the capacity and modernizing. And idea is to convert the existing bias capacity into OHT and OTR and to modernize and restart PCR. So, I think for next year, three years, this capital deployment will continue in this manner only.

Vivek Gupta: Okay. Sir, regarding the upcoming LFP cathode plant, which is scheduled to commence operation in third quarter of FY '27, will the initial production primarily cater to domestic demand or exports ? Also, could you provide a ballpark pricing expectation for the LFP product?

Anurag Choudhary : See, LFP product pricing keeps on varying depending on the raw material prices where the lithium prices goes. But on a ballpark figure, it will be between Rs. 6 lakh to Rs. 7 lakh per tonne as of what it looks today. And we will be basically targeting export market with some domestic because not much capacities are coming up in India by Q3 FY '27. So, the capacities which are coming up definitely will supply to them. But in addition to that, whatever capacity will be there , we will be supplying to the global market, particularly Europe and US.

Vivek Gupta: Okay. Thank you.

Moderator: Thank you, sir. The next question is from the line of Anubhav Sahu from MCPro Research. Please go ahead.

Anubhav Sahu: Hello. Yes, thanks for this. My question is regarding competitive landscape within the domestic end market for the carbon black. I mean, we have been doing quite good on the export

side, but

how is it in the domestic side given that there's a bit of a muted auto end market scenario ?

Secondly, we have been in the flow of dumping of carbon black from Russia , so any comments on that, please?

Anurag Choudhary : See, the advantage Himadri has, we do not have huge volumes to sell. Like, we have only 1,80,000 tonnes and we will go to 2,50,000 tonnes. So, with our limited volume, we choose our customers very prudently. And we only look at customers who value quality and who value the delivery, quality, consistency , statistic process control system is very strong. All those parameters who value we focus that those customers.

Over the years, because of this focus, we have developed a very niche basket of customers. And these basket of customers are not import agnostic , means they do not depend on import , they do not look on imports. So, that gives us a big advantage . Even being a carbon black player within the group, we do not supply to Birla Tyres even.

Anubhav Sahu: Yes, I got it from last call. In fact, Birla Tyres carbon black actually comes from other players , it's probably because of the cost advantage you mentioned.

Anurag Choudhary : Yes.

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Anubhav Sahu: Secondly, how do you see the volume growth for fiscal year 26, given that we would have a bit of a constraint on the carbon black in Q3? Would it be fair to assume that the last part of the volume growth for this fiscal year would actually come from Birla Tyres and their initiative on the naphthalene business?

Anurag Choudhary : Yes, the last part of volume growth will come from three segments , one is Birla Tyres , second is speciality carbon black from Q4, Q3 it will commence production , Q4 you will see the peer cut volume growth. And existing coal tar pitch business where we are going to de -bottle and that additional capacity will come also from Q3, Q4.

Anubhav Sahu: Got it. And sir, lastly, would it possible for you to share revenue contribution or volume contribution in India from naphthalene business?

Anurag Choudhary : We do not give product -wise contribution or cost , everything comes in the carbon chemicals. So, we do not do product -wise accounting.

Anubhav Sahu: Understood, thanks for that.

Moderator: Thank you , sir. The next question is from the line of Bharat Shah from ASK Investments Mangers Limited. Please go ahead.

Bharat Shah: Hi, Anurag. First of all, hearty congratulations. Very significant journey has been evolved over a period of time. From kind of a commodity product portfolio to evolved and speciality portfolio , it has been many, many years of hard work. So , many congratulations to Himadri, yourself and the entire team.

Two questions. One, while many of the acquisitions fit in well with your strategy of speciality and moving up on the value chain , so that is quite an understandable one. I was just wondering whether Birla Tyre s acquisition, is it going to be more of an advantage or it is going to be a distraction? Because at the end of the day, you may use a lot of your material in tyres , but tyre is a very different business than the speciality chemicals business that you are in.

Anurag Choudhary : Thank you so much. One thing, for us, Birla Tyre s for Himadri is not a customer. Himadri is not supplying any carbon black till date to Birla Tyres. Because Himadri is able to sell its carbon black for a niche application at a much higher price than what Birla Tyre s can get from outside. Birla Tyre s is a standalone business.

See, 15 years back I ventured into carbon black. That time I was knowing nothing about carbon black, I was supplying oil to carbon black. And then the big question was , whether I will be able to get the technology right, whether I will be able to make it a product. And the day we started, we were bang on on the product , the first

day itself. And now we are far ahead in terms of

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speciality carbon black, which many of the companies in the world have not been able to do after so many years.

Same thing with Birla Tyres. We have been supplying carbon black to the tyre companies for last 15 years now. So , we know the industry in and out very well. We know the people, we know the people who are doing, who are great in this business. So, it's much easier for me to make my team. And I am telling you, the kind of team within a short span of time we have been able to build is unreal.

And when we started Birla Tyre s, our rejection rate is minimum with old machinery even. We are ramping up very fast. And the entire business from bias tyres will be converted into OTR and OHT tyres. And we will again be launching passenger car radial and EV.

And the ROC that Himadri will be delivering in this business will be unimaginable. Basically , our investment has been only Rs. 300 crores for an asset worth Rs. 3,400 crores. So , we have got at less than 10% asset. So, after the CAPEX we are proposing, the ROC will be significantly higher than any of the peers. And with our relationship in the industry for last 15 years and the way we have been able to build up the team , and I still continue to build up, I am 100% confident of amazing results from Birla Tyre s.

Bharat Shah: Which I deeply appreciate. My only limited point was, it's a speciality chemicals company starting from supplying to carbon black industry to becoming a full -fledged carbon black player to becoming a speciality carbon black player and now many other offshoots from that into a speciality chemical journey. But all of that is a B2B kind of a business. Tyres is a B2C kind of an activity.

Even if it is in speciality area like off the road and commercial vehicle and agri and other applications that you narrated , it still remains kind of a B2C business , sales organization, overall organizational mindset, all that needs to be different for a tyre business than what a speciality chemical operations is. So , it was just from that point of view whether this is a risk of causing distraction in the strategic footprint of the company or strategic management bandwidth of the firm?

Anurag Choudhary : One thing, what has happened, what really we did over the last few years ? What we did , from being a chemical company, now I started focusing on building management bandwidth. So that is what I did. I started building last six, seven years I was only focusing on building management bandwidth and strengthening each vertical with a business head. So , today if you look at me, I am hardly engaged in any operations.

So, Birla tyre s is like that also. It is a separate vertical with business head s looking into it with complete independence but strong reporting systems and processes clearly defined. So , with the increased bandwidth that I am able to develop over the last few years, that is the reason today.

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If you look at our annual report also, we have given the theme Himadri Reloaded, The Next Chapter. Why? Because we have done the groundwork for the future and now we are ready to take on many assignments at the same time and with 100% confidence to deliver value to our stakeholders.

Bharat Shah: Got it. Really appreciate. That does require material change in the mindset.

Anurag Choudhary : Sir, one more thing I just wanted to tell. See, I do not want to remain only a product specific company for life that I have been making a coal tar distillate product so I end up doing that only.

With my years of experience, we have expertise in processes. Over the 35 years, we have expertise and acumen in doing business. So now to increase our foothold, we cannot get a better launching pad than Birla tyre

s.

See, today or tomorrow I have to go into B2C. From what I want for future of the company, I do not want to be only B2B business. I want to look at several B2C businesses also. For that, if I have to restart and make a brand, it will take 20 years minimum to build up a brand. And by God's grace, we have got Birla Tyres brand with 40 years of legacy and what a recall. So that is the game changer. Today , with Birla Tyres brand with you, the B2C business looks like a cakewalk.

Bharat Shah: Sure. And I am sure one last point on this particular thing before I move to the second part. I am sure you would have analyzed the reasons for a 40 year old well -known brand to fall into the kind of state of disrepair that it fell into , which is why you acquired a business like that for one -tenth of the underlying assets value. So , what in your opinion went wrong and what are lessons which have been built into the acquisition footprint in order to ensure that Himadri does not suffer so many consequences?

Anurag Choudhary : We did thorough study before taking over the unit. I got in touch personally with most of the CEOs, ex -CEOs of Birla Tyres , and I did a deep dive. I talked to the lowest level people who were working there and mid -management and top management. And then we did a thorough analysis of what really went wrong. Because of some constraints I am not able to explain that online at a conference call what really went wrong because it's not right on my part to tell something negative about some other management or something which I do not feel like doing. But we did a deep dive and clearly articulated our strategy. And we made 10 guiding principles for this business , learning s from the failure of Birla Tyre s we call it. And those are our founding pillars for success. This is going to be our founding pillars for success. We have clearly identified what was the loophole, what went wrong and everything. I am giving you a very small example. Like when we took over this unit , 13 unions were there. Now we have no union. I do not want to go into details , but from that you can understand our capability matrix.

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Bharat Shah: Sure. All the very best on a very major step , not in terms of the CAPEX amount involved but in terms of the direction of the firm and the business. Coming to the second part. If you look at the five year period that is financial year 2021 up to last year '24-'25, we have made a remarkable progress. Our volumes have gone up about 1.5 times , our top line has gone up about 3 times , our operating profits have gone up 6 times , and profit after tax has gone up about 12 times. You have also narrated that from '24-'27 the bottom line is likely to double. So , what is the picture to be expected from after '27 to say further three year period ? Or from '25 to the next five year period till fiscal '30?

Anurag Choudhary : So, actually I will tell you. If you ask me on a scale of 1 to 10 , according to me where we are ranked now , I will rank it little less than 1. I think that is what we have achieved till now. The real story will unfold in next five years. And I am very confident of it. And I will request you to kindly go through our annual report very carefully , you will find there a page called Future Growth Drivers. You go through that and read carefully each item and you will have the answer.

And every quarter or six months when we come up with new things , you will see the things unfolding. But I can tell you that things are going to be very different from what it is today. I do not want to put a number to it.

Bharat Shah: Sure. Now I have read about various initiatives and various plans which are there , in this quarterly also you have laid out some of them. And the various clearly hunger for strategic initiatives has gone up in Himadri than ever before , give

n the success and the strength of the

balance sheet. But like you mentioned or as I mentioned in 2021 to 2024 -'25, we have had a very strong journey on volume, top line, profits and the bottom line. '24 to '27 also you mentioned about roughly doubling our bottom line. So , I was just wondering from '27 to '30 if we take the next three year block , what do you think will be the key initiatives which will play out? And what kind of an outcome , possibly not in terms of numbers but qualitatively what kind of picture can be envisaged?

Anurag Choudhary : See, you look at the broader picture , today we are into coal tar pitch which we are expanding , the business is expanding , speciality Carbon Black is expanding , naphthalene is expanding. Then tyre you will see the story unfolding in next four to five years completely with full capacity, full margins coming into play , that will give a big top line to the company and big bottom line to the company.

Then you have raw material components from lithium -ion battery. You know I have been talking about lithium -ion components for last 12 -13 years. It's not that today everyone is talking so I have started talking. You remember , you have been associated with the company for last 20 -plus years , you have been an investor. So, in early years we had full confidence when no one used to look at lithium -ion that this is going to be a game changer in future. And that has really happened today. And Himadri is doing wonders in terms of how we are going to position ourselves.

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Then you talk of anode. There are three types of anode ; natural, synthetic and silicon carbon , and that makes a hybrid anode. If you look at my reports and everything, I am working on all three of them. Only company which is working on all three of them. As a customer you see, you come to Himadri, you have a host or you have a full product basket. Where else will you go? Where will you get silicon carbon? Where will you get natural at the same time? This hybrid material will change the entire chemistry.

Suppose you are getting a capacity, I am going a little technical, at 350. With little Silicon you will go to 370. The game changes. So that is something which will come into play. Lithium -ion phosphate, first company in the world outside China to have a commercial plant we are setting up. We have a huge expansion in that capacity. I have clearly outlined 100 gigawatts capacity in next five to six years. Other than that, if you look at our presentation, we are going into backward also. We are going for lithium carbonate in future on which research and development is going on in full scale now.

So, currently lithium carbonate is made through a lynching process. Today lithium is extracted from rock through a lynching process using acid. We are going to do it through carbon dioxide which is game changer in the world. It will be a green lithium. This itself will make a revolution in the world.

So, like this every product, like we are working on, I have also outlined from waste to energy.

So, there we are working on lot of waste products which we will be converting into finished product and energy in future. So, if you look at my current portfolio, current oil, anthracene oil or the carbon black oil, we are just using to make carbon black. Now we are setting up plant for anthraquinone , carbazole. Anthraquinone , carbazole, the selling price is 7x of the oil with hardly any processing cost.

So, all these are game changers to outline a few of them. Other than this , there are many things which are happening. So, I am confident that looking forward things will unfold in a big way in Himadri.

Bharat Shah: Sir, if I am just allowed to put one last point on this. We have seen a journey which has been multi -fold over '20 to '25, you have already outlined from '24 to '27 another

Phase of that

journey. Will you say that from '27 onwards the third Phase of the journey will be equivalent or better or similar to the Phase 1 and Phase 2, Phase 1 that is over and Phase 2 that we are experiencing ? Will you say Phase 3 will be superior, equal or lower than the Phase 2 that we talked about , both in quantitative or qualitative terms ?

Anurag Choudhary : I will put it other way round. Phase 3, with Phase 3 I believe the real journey will start.

Bharat Shah: Which is why you said in a scale of 1 to 10 you are just at 1 ?

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Anurag Choudhary : Right, so with Phase 3, after '27 the real Himadri journey will start. And time will only tell what we will achieve. I do not want to put any word or number to it.

Bharat Shah: Appreciate. Thank you , Anurag . And real best wishes to you and Himadri and the Himadri team.

Anurag Choudhary : Thank you, thank you so much.

Moderator: Thank you sir. The next question is from the line of Vignesh from KFima Wealth. Please go ahead.

Vignesh : Hi there. I just want to understand what is the revenue potential of the Phase 1 of the LFP ? Just an approximation, just to understand how was the potential for LFP.

Anurag Choudhary : Between Rs. 2,500 crores to Rs. 2,700 crores.

Vignesh: Okay . And another one is regarding the anode development which you spoke of , any timelines when we are planning to put a CAPEX or announcement regarding the anode materials?

Anurag Choudhary : I do not want to announce now. Means I do not want to disclose now.

Vignesh: Okay, thank you . That's it from my side.

Anurag Choudhary : We are ahead of a schedule. Means two and half years, three years before only I announced that it will happen. This time I will not give so much time. That only I can say.

Vignesh: Okay, okay. And regarding are we planning to go into a mining kind of thing sir for backwardation?

Anurag Choudhary : Yes. We are looking at some mining thing and already made some investments. So, yes.

Vignesh: And this will be mostly for backward integration of the LFP?

Anurag Choudhary : It will be in various aspects. We will do some minerals and then we will see how things unfold.

Vignesh: Okay, thank you. That's it from my side.

Moderator: Thank you, sir. Ladies and gentlemen, due to interest of time, that was the last question.

Anurag Choudhary : Bhavya, we can have more questions , no problem.

Moderator: Okay, sir. The next question is from the line of Preeti Agarwal from SK Associates. Please go ahead.

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Preeti Agarwal : Thank you so much for the opportunity. Sir, my question is that we have seen a margin uptick , so how much of this is attributable to value added product contribution? And any structural change in product mix underway?

Anurag Choudhary : So, everything is attributed to value added products only , nothing changes structurally.

Preeti Agarwal : Okay. And any product mix underway?

Anurag Choudhary : Same, it's a blended product mix.

Preeti Agarwal : Okay. And my second question is, what gives Himadri a technological or R&D edge in advanced carbon material versus peers ?

Anurag Choudhary : See, we have been in this field for last 12 -plus years. So, we have done a lot of investment in research and development, building our teams and capabilities from ground zero , so we know the product in and out. You can never say that I know everything. But we have done our homework quite well. And we have a very strong team who knows the subject. And that is the kind of development we have done over the years.

And if you look at any other company, they are talking of this over last two, three years or one year only. And if you open my 10 years back annual report, you will find lithium ion battery.

So, we know the subject very well. And being in China, li

ke China is the leader in this space and

we have our manufacturing facility in China since last 15 years. So, I have seen very closely the development of this industry , very closely. So, that gives a unique positioning to Himadri and an edge compared to anyone else globally.

Preeti Agarwal: Okay, understood. Thank you so much , sir. And all the best.

Moderator: Thank you, ma'am. The next question is from the line of Ashit Koti, an individual investor. Please go ahead.

Ashit Koti: Thank you, sir. Thanks for the opportunity . And congratulations on the numbers. Just two things.

One is with regards to the current quarter numbers, where we do not see much of a volume growth as well as revenue growth , but our profitability is increasing. So, is the same trend would continue or you see volume as well as top line and bottom line growth also along with a higher margin?

Anurag Choudhary : See, I clearly explained , the top line has not grown and has come down basically because of raw material prices. And looking forward, as I told from Q3, actually from Q4 you will see the speciality carbon black new capacity coming in place. You will see debottle capacity of carbon, especially coal tar pitch. And you will see ramping up capacity of Birla Tyres . So, all this will

help to increase the top line and bottom line at the same time.

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Ashit Koti: Okay. Sir, with regards to the lithium ion batteries, I mean, do we consider that Birla Tyres is your first step towards B2C as what Bharat bhai was asking? And from there on you would want to move on to within battery systems and all related products in B2C manner?

Anurag Choudhary : No, no. We have clearly outlined our growth plan and where we want to play in this segment. We do not want to be a cell manufacturer. B2C, we are launching with Birla Tyres and we will strengthen our position in three years in B2C. And then we will see what product to launch. We have a product portfolio for B2C which we are preparing. And at the right point of time we will disclose and launch. But yes, cell is not in our portfolio. We want to be a component manufacturer for lithium ion cell, not a cell manufacturer.

Ashit Koti: Okay, sir. And something on this graphite, I mean, what is our exposure and what are our plans on that? Something which was mentioned in the presentation.

Anurag Choudhary : No, this is about anode material. So, I have clearly told, I have told in the conference call about what we are doing in anode material, what is our plan, everything I have told already .

Ashit Koti: No, no , I am talking about graphite electrodes.

Anurag Choudhary : No, no , I have to do nothing with graphite electrodes. We are supplying coal tar pitch to graphite electrode. That is the only relationship.

Ashit Koti: So, further value addition or moving on those lines is not the case right now ?

Anurag Choudhary : Not at all. Not at all.

Ashit Koti: Right, sir. Thanks a lot. Thanks a lot.

Moderator: Thank you, sir. The next question is from the line of Jaiprakash Kumar from Korman Capital. Please go ahead.

Jaiprakash Kumar : Sir, my question on the depreciation , sir, from last 10 years I am looking at depreciation . So, 10 years back also it was Rs. 57 crores , now also it is Rs. 57 crores only , and the gross block is Rs. 2,500 crores. So, I am not sure what kind of plant and machinery, what is the plant life and all that. But depreciation looks very low , and from last 10 years it has broadly remained at the same level.

Anurag Choudhary : No, no. I think you are mistaken with the figures. It has come up over the years. If you look at 10 years back , because we have not done much CAPEX in the last seven, eight years. But whatever CAPEX we have done, corresponding to that depreciation, has definitely gone up. And it is on written -down value , SLP, straight

line.

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Jaiprakash Kumar : It is a straight line, right , not written -down value ?

Anurag Choudhary : It is a straight line.

Jaiprakash Kumar: And on this Rs. 2,500 crores, this is just Rs. 50 crores of depreciation, so it is just not even, I think it is very small percentage. So, can you highlight like why the depreciation is so low on such a high gross block ?

Anurag Choudhary : This is directly correlated with the life of the plant. So, depending on what is the lifespan of the plant, the depreciation rate item wise has been calculated. And that is what it is.

Jaiprakash Kumar: Okay. And depreciation will include the maintenance expenses also?

Anurag Choudhary : Maintenance CAPEX , we do not put in CAPEX , we take it through P&L only.

Jaiprakash Kumar: Through P&L only and it is part of depreciation , right?

Anurag Choudhary : No, no. It is not part of depreciation, it is part of P&L , maintenance CAPEX .

Jaiprakash Kumar: Okay, understood. And you are saying the life of the plant and machinery is very high, like maybe 30 , 40 years , that is why the depreciation is low?

Anurag Choudhary : So, we have got a detailed study done and basis that we have identified life of each and every equipment and basis that we have charged depreciation. And you will get in the audit report in details.

Jaiprakash Kumar: Okay. Thank you.

Moderator: Thank you, sir. The next question is from the line of Anand, an individual investor. Please go ahead.

Anand : Yes, I just wanted one question on Birla Tyres. How do you expect to maintain pricing power in such a competitive industry?

Anurag Choudhary : How do you expect to maintain pricing power?

Anand: Yes, in such a competitive industry?

Anurag Choudhary : Yes, in such the industry is competitive, we know . EBITDA margin ranges from, in normal

case, tyres from 10% to 15% ; and for OHT , OTR, it is (+25%). So, we are playing within this. And Birla Tyre s has a good brand recall , so as a brand, even being a re -entry after three years, we do not have to give any special discount or something like that for positioning Birla Tyres.

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Anand: Okay. Very good. Thank you very much, sir.

Moderator: Thank you, sir. As there are no further questions from the participants, I now hand the conference over to the management for closing comments.

Anurag Choudhary : Thank you. Thank you so much. I would like to thank everyone for taking out time and joining us on the confere nce call today. I hope we have been able to respond to your queries adequately.

Your continued interest and feedback play s a vital role in our journey forward. This quarter marks the beginning of what we believe will be a transformative phase for Himadri. With a clear strategy, strong execution, and an unwavering focus on innovation and sustainability, we are confident in the road ahead. We remain committed to delivering long -term value and are pleased to have your support as we scale new frontiers and shap e the next chapter of Himadri 's growth story. Should you have any further questions, please feel free to reach out to our investors' relation partner, MUFG Intime IR. Thank you once again for joining the call today. Good day.

Moderator: On behalf of Himadri Speciality Chemical Ltd, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Oct 2025

Ref. No: HSCL / Stock-Ex/2025-26/103
Date: 29/10/2025
E-mail: monika@himadri.com

Ref: Listing Code: 500184
BSE Limited
Department of Corporate Services
P. J. Towers, 25th Floor,
Dalal Street,
Mumbai- 400 001 Ref: Listing Code: HSCL
National Stock Exchange of India Ltd
Exchange Plaza, C-1, Block-G
Bandra Kurla Complex,
Bandra (E)
Mumbai- 400 051

Sub: Transcript of Earnings Conference Call for Financial Performance for the 2nd Quarter and Half Year ended 30 September 2025 held on Friday, 24 October 2025 Dear Sir/ Madam,
Further to our letters dated 17 October 2025 and 24 October 2025 and pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 ("SEBI Listing Regulations") read with Schedule III of the SEBI Listing Regulations and other applicable provisions of the SEBI Listing Regulations, we are enclosing herewith the transcript of earnings conference call for Financial Performance for the 2nd Quarter and half year ended 30 September 2025 held on Friday, 24 October 2025 at 04:30 p.m. (IST).
The above information will be made available on the Company's website at www.himadri.com

You are requested to take the same on record.
Thanking you,

Yours faithfully,
For Himadri Speciality Chemical Ltd

(Company Secretary &
Compliance Officer)
ACS: 29322

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Q2 & H1 FY-26 Earnings Conference Call
October 24, 2025

MANAGEMENT : MR. ANURAG CHOUDHARY – CHAIRMAN AND

MANAGING DIRECTOR & CHIEF EXECUTIVE OFFICER
MR. SOMESH SATNALIKA – EXECUTIVE VICE
PRESIDENT , TYRE & STRATEGY
MR. KAMLESH AGARWAL – CHIEF FINANCIAL
OFFICER
MODERATOR : MS. POOJA SWAMI – MUFG INTIME

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Moderator : Ladies and gentlemen, good day and welcome to Himadri Speciality Chemical Ltd Q2 and H1 FY26 Conference Call hosted by MUFG Intime.

As a reminder all participant lines will be in the list n-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need any assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone.

Please note that this conference is being recorded.

I now hand the conference over to Ms. Pooja Swami from MUFG Intime. Thank you and over to you ma'am.

Pooja Swami: Thank you, Shravani. Good evening, everyone and welcome to the Q2 and H1 FY26 Earnings Conference Call of Himadri Speciality Chemical Ltd.

Today on the call, we have with us Mr. Anurag Choudhary – CMD & CEO, Mr. Somesh Satnalika – EVP, Tyre and Strategy and Mr. Kamlesh Agarwal – CFO.

Before we proceed with the call, I would like to give a disclaimer that this conference call may contain forward-looking statements about the company which are based on beliefs, opinions and expectations as of today. Actual results may differ materially. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict.

A detailed safe harbor statement is given on Page #2 of the investor presentation of the company which has been uploaded on the stock exchange and company website.

With this, I now hand over the call to Mr. Anurag Choudhary. Over to you, sir.

Anurag Choudhary: Thank you, Pooja. Good evening, everyone and thank you for joining us today on Q2 FY26 earnings call of Himadri Speciality Chemical Ltd. It is always a pleasure to connect with you all and share our progress.

This quarter has been another milestone for Himadri, a period where our strategy, execution and innovation have come together to deliver record results. I am pleased to say that in Q2 FY26, we have achieved our highest ever quarterly EBITDA and PAT. Reflecting the strength and resilience of our business model, our EBITDA stood at Rs. 243 crores, up 21% year-on-year, and PAT came at Rs. 187 crores, a 39% growth compared to last year. For the half year, we delivered Rs. 477 crores in EBITDA and Rs. 369 crores in PAT, both our highest ever levels. Strategic emphasis on high-value speciality and advanced materials drove strong margin performance this quarter, delivering year-on-year improvement in both EBITDA and PAT. The impact of softer raw material prices was marginal and with a large export order scheduled to recognition in Q3, we are poised for continued growth.

Over the past few months, we have made steady progress across multiple initiatives, from advancing our pipeline of new product developments and pilot trials to executing capacity expansions, deepening global collaborations and strengthening sustainability frameworks. At the October 24, 2025 Himadri Speciality Chemical Ltd

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heart of this progress lies our in-house R&D and technological capability, with continuous drive to innovation, integration and value creation across business.

We have continued to extend our international engagement, showcasing our capabilities at major global platforms. These events not only helped strengthen Himadri's brand visibility but also deepened partnership with global leaders in Speciality Chemicals and new energy materials.

We were proud to partner with Asia's premier cricket tournament as the official tyre partner of Asia Cup 2025. Just as the champions on the field pushed boundaries and overcame every challenge, Birla Tyre continues to stand for performance, reliability and an unwavering spirit on the road and in life. Through our campaign, 'Rolling with Champions', we celebrated the passion

of the game, the unity of billions of fans and our commitment to delivering strength and trust in every mile. This association marked a proud chapter in the brand's journey.

Before I move to other updates, I want to highlight an initiative that fully embodies our culture at Himadri. Vihaan. This platform brings Himadrians from across levels and functions together to engage, learn and exchange ideas in a collaborative environment. Vihaan fosters a culture of continuous learning by facilitating meaningful interaction between young talents, passionate

professionals and senior leadership. Through this initiative, emerging talents gain exposure to real business challenges, receive valuable mentorship and benefit from the collective vision of our experienced leaders, helping save the future leaders of Himadri. Vihaan is a powerful catalyst for innovation, fresh thinking and leadership development that drives long-term value for our organization.

Building on the robust performance and strategic executions we have demonstrated so far, Himadri is accelerating its journey towards a long-term financial milestone. Our focus on high-valued segments and operational excellence has positioned us well ahead of schedule to achieve our ambitious target. We have earlier guided that our ambition was to double our PAT from FY24, which was Rs. 411 crores by FY27. Today, with our progress in just 2 years, we are already nearing this milestone, well ahead of plan. This momentum not only strengthens our belief that FY27 will far exceed our original expectations but also sets the stage for Himadri to establish industry-defining benchmarks and shape the next era of growth.

On our strategic roadmap, we are moving steadily towards FY28, guided by a clear ambition to build a diversified and future-ready portfolio anchored in high-value growth. Over the next 3 years, we expect meaningful contributions from our specialty carbon black expansion, the ramp-up of Birla Tyres, the forward integration into Specialty Chemicals and the commercialization of our lithium-ion battery material business.

Having shared a snapshot of our strong quarterly performance, I would now like to walk you through the detailed progress and exciting developments across our core business segments and strategic initiatives.

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Let me begin with our core specialty value chain, where we continue to see robust growth and on-track expansion. Our coal tar pitch business remains a trusted supplier to global aluminium and electrode consumers. While we are actively expanding our footprints in liquid pitch exports with newly commissioned terminals at Mangalore port. In specialty carbon black, the brown field expansion project is progressing well, set to more than double our capacity to 130,000 MT per annum by the end of Q3 FY26, Positioning Himadri as the world's largest single-site producer of specialty carbon black, this expansion will take our total carbon black capacity to 250,000 MT per annum. With over 60 new grades launched, we are strengthening our leadership and product diversity in this critical segment.

In parallel, our new specialty chemical segment is gaining momentum with the upcoming facility of anthraquinone and carbazole production that is expected to be commissioned by Q2 FY27. This forward integration from existing coal tar distillates will not only reduce import dependency but also enhance value addition across the dye, pigment, pharmaceutical and agro-chem industries. Moreover, the introduction of Duro fresh naphthalene with its industry-leading purity of 99.5% represents a new chapter where Himadri's decades of technical expertise translate directly into a consumer-facing product. It's not just a diversification, but it's about capturing

value within our existing value chain while enhancing our brand presence in a fast-growing retail market.

One of the most transformative areas for us is lithium-ion battery material, where we are making strides to establish India's first commercial manufacturing footprint. As India rapidly emerges as a key player in the global clean energy value chain, Himadri is proudly contributing to the Atma nirbhar Bharat vision by investing to become the world's first commercial-scale manufacturer of LFP cathode active material outside China. Targeting a phase capacity of 200,000 MT per annum, the initial 40,000 MT per annum plant is already under development and on track to commence operations by Q3 FY27. Concurrently, we are advancing research across anode technologies, including both natural and synthetic graphite, to build a comprehensive self-planned battery material portfolio that drives long-term growth, innovation and energy independence of India.

Our partnership with SiCona Battery Technologies in Australia gives us exclusive rights to commercialize this advanced silicon carbon anode technology in India, a technology that offers over 20% higher energy density and reduces charging time by nearly 40%. Alongside this, our strategic investment in SiCona 17.6%, International Battery Company 16.2% and Invati Creations 40% give us access to cutting-edge technologies, R&D capabilities and a presence across the entire LIB value chain for anode and cathode materials to cell manufacturing.

Another important development this quarter has been of Birla Tyres. The business is on course of revival, and we are building a comprehensive product portfolio catering to off-highway tyres, commercial vehicles, agro and industrial segments. For the passenger car radial unit designed for EVs and SUVs, the installation of plant and machinery is scheduled to commence within the next 12 months. Today, Birla Tyres operates through 29 distributors and over 350 dealers across

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India and global markets, including Asia, Africa and the Middle East. The new brand identity and digital presence reflect a strong modern and consumer -driven direction for this iconic brand. Sustainability remains deeply embedded in our strategy, with several important milestones, recognitions and forward -looking commitments reinforcing our responsible manufacturing philosophy. Sustainability is at the core of everything we do. This quarter, Himadri achieved the ISCC -Plus certification for our Mahistikry plant, reaffirming our dedication to responsible manufacturing and circular economy principles. We earned an 'A' rating in CDP's Suppliers Engagement Assessment, reflecting strong supplier collaboration on environmental performance. It's also worth highlighting that we have previously received the prestigious Platinum rating from EcoVadis, which placed us among the top 1% of companies globally for sustainability performance. Our net zero ambition for 2050 is backed by measurable science -based targets across Scope 1, 2 and 3 emissions. All our manufacturing sites operate as zero-liquid discharge facilities, and we utilize in-house clean power for 100% of our electrical energy needs. For Himadri, sustainability is not merely a compliance, it's in the core business philosophy that fuels innovation, drives efficiency and builds long-term trust with our stakeholders. With our strong balances, robust cash generation and disciplined capital allocation, Himadri is well positioned to deliver sustainable value to all stakeholders.

Before I conclude, I want to thank our team members, partners and our investors for their continued trust and support. With that, I would like to hand over the proceedings to our CFO, Mr. Kamlesh Agarwal, to walk you through the financial performance in details.

Kamlesh Agarwal

I: Thank you Anuragji and good evening, everyone. Now, let me take you through the key financial highlights for the quarter and half year ended 30th September 2025.

On a standalone basis, our revenue from operations for Q2 FY26 stood at Rs . 1,070 crores compared to Rs . 1,135 crores in Q2 FY25, primarily impacted by the correction in raw material prices, increased focus towards high value -added products and deferment of sales recognition for export shipment to Q3.

Driven by our strategic emphasis on value -added offerings and operational efficiency, profitability continued to strengthen even as top line remained soft. EBITDA for the quarter came in at Rs . 243 crores, a growth of 21% year -on-year, over Rs . 201 crores in Q2 FY25. PAT stood at Rs . 187 crores, reflecting a 39% increase year -on-year compared to Rs . 134 crores in the same quarter last year.

For the first half year of FY26, revenue stood at Rs . 2,171 crores, while EBITDA reached Rs . 477 crores, up 23% year -on-year from Rs . 389 crores in first half of FY25. Profit after tax for the half year stood at Rs . 369 crores, up 43% year -on-year, over Rs . 258 crores reported in H1 FY25.

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On a consolidated basis, revenue for Q2 FY26 stood at Rs . 1,071 crores versus Rs . 1,137 crores of same period last year. EBITDA for Q2 FY26 stood at Rs . 238 crores, recording a growth of 17% year -on-year and PAT at Rs . 176 crores with a growth of 30% year -on-year. Our half -yearly revenue stood at Rs . 2,189 crores, EBITDA at Rs . 473 crores, PAT at Rs . 356 crores, reflecting strong performance across all the business segments.

We continue to maintain a healthy liquidity position with a comfortable leverage profile. Our debt-to-equity ratio remains low despite ongoing capital expenditure.

In summary, Q2 FY26 was another strong quarter with record profitability, robust margins and a healthy balance sheet laying the foundation for sustainable growth in the upcoming quarter.

That is all from our side. We will now open the line for question and answers. Thank you.

Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Sanjesh Jain from ICICI Securities. Please go ahead.

Sanjesh Jain: Thank you. Good evening, sir. A couple of questions from my side. First, on the volume growth, if I look at the volume growth for last, since Q4 FY24, we are stuck between 1,35,000 to 1,40,000 MT. It's because we do not have capacity or the demand remains soft? What is leading that the volume has been in that range of 1,35,000 to 1,40,000 MT for almost seven - eight quarters now?

Anurag Choudhary: The volumes are at the same level basically because we are more or less at peak capacity utilizations. With the new capacity being added in next quarter for speciality carbon black and de-bottling neck for the coal tar pitch also happening, then we can see volume growth from Q4 onwards.

Sanjesh Jain: Basically, we are capped by the capacity constraint. You do not see issue on the demand side of it?

Anurag Choudhary: No, not at all.

Sanjesh Jain: Got it. How much are we adding or de-bottling the coal tar pitch distillation capacity?

Anurag Choudhary: Our current capacity is 500,000 MT. We are going to become 600,000 MT.

Sanjesh Jain: How should we think this utilization?

Anurag Choudhary: This utilization from Q4, it will start. Q3 will have some impact and Q4 and then from Q1 next year. So, from Q3, you will start seeing the impact.

Sanjesh Jain: But from a demand perspective, aluminum capacity in India is not going up. So, 40% of this incremental 1 lakh need demand from the aluminum and the remaining will go as a raw material into carbon black manufacturing. How should we think the capacity which can come as the sales out of this a

dition we are doing?

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Anurag Choudhary: For coal tar pitch, as we highlighted previously also, we have started export of liquid pitch. And we have recently started Mangalore terminal also. And this November, we are expecting our first shipment from Mangalore terminal. So, with this, now we will be supplying to the global market. The new capacity will basically cater to the global market.

Sanjesh Jain: Why can't we export it from our Kolkata port and why we need to come to Mangalore port?

Anurag Choudhary: We have one unit in Visakhapatnam also. For that, we are using Mangalore port, from Kolkata, we are using Haldia port.

Sanjesh Jain: Do we have the visibility for this incremental 40,000 MT of coal tar pitch demand from the export market?

Anurag Choudhary: Yes, we have very clear visibility.

Sanjesh Jain: Got it. Second from the carbon black and sorry, just to complete that, which geography are we seeing this incremental demand coming in for the coal tar pitch?

Anurag Choudhary: Middle East.

Sanjesh Jain: Largely Middle East?

Anurag Choudhary: Largely Middle East. Because lot of smelters are there in Middle East, significant capacities and all of them are importing coal tar pitch.

Sanjesh Jain: And we are approved there?

Anurag Choudhary: Yes, we are approved.

Sanjesh Jain: So just we need to manufacture and supply, that's it.

Anurag Choudhary: Right, right.

Sanjesh Jain: Got it. Second on the carbon black side, if I look at carbon black, we got two pieces, one is rubber grade, the other one is the speciality grade. Now, if I look at your peers' number globally and India, they are seeing a significant stress in the overall spread, both speciality and the tyre grade. While if I look at our number, it shows a very different trajectory here. Though we do not get product-wise, but we have increased in last one year, the EBITDA per kg from Rs. 15 rupees to Rs. 17. Now, how are we able to buck this trend, how are we able to improve the spread while globally and the peers are showing a decline?

Anurag Choudhary: So, to answer your question, the biggest difference between any other carbon black player and Himadri is that we have always focused on our speciality portfolio. And in commodity also, we focus on very niche applications, where quality marks a very significant requirement. So, in difficult times, you know what happens when during testing times, actually the business model

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of Himadri is put to test. And there is where we prove that the strategy we implemented over the years is yielding results. Like market demand and prices are in constraint globally for carbon black, but Himadri has very limited volume of carbon black to sell compared to any of its peers who have significant volume. So, they have to compromise on different aspects. But we select our customers on the long-term basis, reliable customers who support us in difficult times, given our loyalty in terms of delivery schedule, clarity in terms of pricing formulas, in terms of quality, consistency and that is how Himadri differentiates itself from its peers.

Sanjesh Jain: That I appreciate. We do not have such a low capacity. We are sitting at about 1,50,000 MT of capacity.

Anurag Choudhary: We are at 1,80,000.

Sanjesh Jain: Sellable capacity of 1,50,000 MT assuming 80% utilization. So, it is not small. We are fairly decent sized. And why would in a commodity anybody pay premium, anybody and everybody is selling the carbon black. We got players like Cabot or Orion; everybody is reporting stress. Now, I can understand we are smaller than them, but we still have very decent capacity. Is it sustainable? We had some contract which has flowed through, or

you see this as a sustainable number?

Anurag Choudhary: We definitely see this as a sustainable number. And if you look at any of the players, the volume of tyre is significant compared to Himadri. So, in Himadri, the volume of tyre is significantly less compared to our peers. That makes the difference.

Sanjesh Jain: That mix has always been there, I am saying. If I look at Orion who reports both speciality and rubber separately in terms of gross profit per kg, we can see clearly stress in both the segments.

Anurag Choudhary: When you compare us with companies in the western world, they have different cost economics. Their costs, their raw material costs, their overheads are totally different from ours. And Himadri, over the years, through its operational efficiency, improvement in yield, better waste heat recovery systems have made so much progress that that has always helped us to improve on the margin.

Sanjesh Jain: Fair enough. Does this backward integration helping us having our own carbon black oil, is that a difference?

Anurag Choudhary: Definitely, that is our USP. So, when we make product from our own carbon black oil, the quality consistency is very much there. Because like we also use petroleum-based oil, but in petroleum-based oil, what happens, consignment to consignment, there is a variation in the quality of the raw material. In our case, since it is our by-product, there is absolute consistency in the raw material, which gives a big advantage. And our raw material is a very clean material that adds to the other advantage for speciality carbon black.

Sanjesh Jain: Got it.

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Anurag Choudhary: And this also, our raw material gives better yield also. So, all these factors taken together takes us in a different league altogether.

Sanjesh Jain: But that difference was there a year back also, when we were reporting a Rs. 15 a kg, or there is a change in the yield over last 1 year for us?

Anurag Choudhary: Yes, consistently there is change, in terms of improvement. If you see our quarter-on-quarter commentary also, we have been saying that the yield improvement is there, operational efficiency is there, waste heat recovery systems are improving. So, we work on a consistent improvement program on operational efficiencies, which also yield results on quarter-on-quarter basis.

Sanjesh Jain: Got it. Very clear. Now, next on the tyre side, if I look at consol minus standalone, which I believe largely will be tyre, there the number appears to be sharply declined. Last quarter, we reported a revenue of Rs. 18 crores. This quarter, it is just 60 lakh. What am I missing here or if you can just give us, what was the tyre sales this quarter and last quarter?

Anurag Choudhary: So, tyre sales this quarter was Rs. 26 crores and last quarter, it was Rs. 5 crores.

Sanjesh Jain: So, then what explains this consol?

Anurag Choudhary: So, revenue if you look at it, the revenue has come down in Q2 compared to corresponding quarter last year because of the fall in raw material prices. The average raw material prices at that point of time was around 45,000. Now, it is at around 39,500. So, because of this...

Sanjesh Jain: I am looking at consolidated revenue minus standalone revenue. I am not looking at cost. I am just looking at the revenue line. So, our tyre is on the subsidiary company, right?

Anurag Choudhary: Right.

Sanjesh Jain: So, if I subtract the consol minus standalone, that sales largely should reflect the tyre company sales?

Anurag Choudhary: Tyres and one small company Invati also. That is a small number.

Sanjesh Jain: But if I look at consol minus standalone, that number appears to have sharply declined. Last quarter, consolidated revenue minus standalone revenue was Rs. 18 crores. This quarter, it is only showing

Rs. 60 Lacs / 6 million.

Anurag Choudhary: So, what happened during this quarter, we have opened a subsidiary overseas and the sales to that has been knocked off since the sales has not affected from the subsidiary. In the standalone, that has been considered as the sales. But on a consolidated basis, that has been knocked off. Because of tax during the last cut-off, it has been knocked off.

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Sanjesh Jain: I understood what happened. Thanks for that clarification. So, this quarter, we have sold Rs. 26 crores worth of material in the tyre business.

Anurag Choudhary: Right.

Sanjesh Jain: Got it. And when we say 29 distributors, if I just want to benchmark the supply chain of the competition, where are we in our region, as in the eastern region, which we started initially under central India? What is the penetration right now for us?

Anurag Choudhary: So, penetration other than south India and parts of west India , we are present now in pan -India basis. And these numbers are going to substantially increase quarter -on-quarter.

Sanjesh Jain: When you say this number, you are talking of revenues, right?

Anurag Choudhary: No, I am talking about distributors and dealers . Particularly dealers because our model is to have distributors and below distributors have dealers. So, suppose one dealer is having say 10 to 12 dealers now, it will go up to 30 to 40 dealers per distributor. So, that will also increase significantly.

Sanjesh Jain: So, we are saying right now we have 29 dealers.

Anurag Choudhary: Distributors.

Sanjesh Jain: Distributors, then we can easily go up to 900 retailers or the dealers. yes.

Anurag Choudhary: Yes, plus we will have more distributors also.

Sanjesh Jain: So, next year assuming when we will have a full year number in the tyre, what is the revenue number we are expecting there?

Anurag Choudhary: So, this year is like a start-up. To be very frank, we are not considering this as any revenue. But next year, we will be ramping up the capacities. So, currently suppose we are running at 10% capacity utilization , next year we expect at least 30 % to 40% capacity utilization.

Sanjesh Jain: And when should we commission the PCR plant?

Anurag Choudhary: So, we will start the installation of the machineries. We have the machineries in place. We are getting the machinery tested and checked. After that, we will start the installation in next 12 months' time and after that, I can give you commissioning date.

Sanjesh Jain: So, next year it will all be the BIAS side only.

Anurag Choudhary: BIAS and OTR/OHT both.

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Sanjesh Jain: Last question on the battery side of it, sir. Where are we in the LFP supply chain? Have we started the pilot plant or it is still under the construction phase?

Anurag Choudhary: The pilot plant is still in the construction phase. It will start in next quarter.

Sanjesh Jain: And 40,000 MT we said will start in Q3 FY27.

Anurag Choudhary: Right

Sanjesh Jain: Any initial samples which we have sent and any reviews you can share from the customer side?

Anurag Choudhary: Definitely, the reviews have been very good from our demo scale plant. So, we have got very encouraging results. And IBC is a clear example. So, IBC is coming out with a cell Prabal 2000 with LFP cathode material. For which we sent them the sample, and they tested the material. And they were so pleased to see the quality of the material that we had detailed discussion, and interaction s. And then we collaborated also. So, IBC has a already launched Prabal 1000 which is a NMC based cathode material cell. Now they will be launching Prabal 2000 which will be LFP based. In which Hima dri's LFP will be used.

Sanjesh Jain: One mo

re question on the anode side. We first time spoke about anode natural and synthetic.

And also, silicon that we want to integrate there. We have not announced any CAPEX. So, where are we in that anode development and when can we expect any CAPEX announcement on anode side?

Anurag Choudhary: So, we have done lot of investment in terms of research and development in technology for all the three types of anodes. We have made significant investment in this. And we are very happy to say that the results have been very encouraging. So, once we are in a position to commercialize the technology which will take another few quarters. Then we will announce the CAPEX program.

Sanjesh Jain: That is very clear. Thanks, Anuragji for patiently answering all those questions and best of luck for the coming quarters.

Anurag Choudhary: Thank you.

Moderator: The next question is from the line of Yash Gupta from Harshit Kotecha Family Office .

Yash Gupta: Sir, can you throw some light on the earlier participant question on the tyre business. Which segment we are focusing on in the tyre part icularly once you say the South India and the Central India. And how big is the opportunity in next 2 -3 years in terms of EBITDA ? It could be like Rs. 10-20 crores of quarterly EBITDA or like Rs. 50 crores of quarterly EBITDA.

Anurag Choudhary: Our focus o n tyre will be on O HT and OTR segment. Along with that EV segment and passenger car radial segment. So, this will be the focus area. We are starting with BIAS and will continue with some capacity of BIAS in our portfolio. So, there is a huge potential in t his tyre market.

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And in next 3 -4 years, I see huge opportunity for Himadri in terms of top line and bottom line both and the numbers will be significantly higher than what you told.

Yash Gupta: Sir, have we done any tie-up with any EV company? I think EV we have not launched as of now.

Anurag Choudhary: No. So, what happened. So, we are in the process like I told. In next 12 months, we will start the installation of our PCR plant. And after that we will do commissioning. Post that we will have the tie-up. Now it is in development stage.

Yash Gupta: And we will look for OEMs not for the retail.

Anurag Choudhary: Definitely, we will look for retail and OEMs both. In retail, margins are much better than OEMs.

Yash Gupta: Second question is on EBITDA margin. In the last six-seven quarters, EBITDA margin is going up despite the volume almost at the same level. So, which raw material prices have gone down in last four-five quarters and what is the reason for the decline and whether we expect this decline to be sustainable?

Anurag Choudhary: See, the margins have not improved because of decline in the price of raw material. So, in our case, any increase or decrease in the price of raw material is passed on to the customers. So, no improvement has taken place because of any movement of fluctuation in the price of raw material. The margins what we have achieved are clearly sustainable margins which the company has been able to achieve through lot of operational efficiency project we are driving in our company, starting from yield improvement, energy saving, waste heat recovery system and host of other initiatives. We have different initiatives which we take and basis that we have been able to improve on our margins. Plus, in addition to that, the company is moving towards high value-added products. So, this transformation from normal products to high value-added products is giving higher margins with the same volumes.

Yash Gupta: So, we are expecting this margin to be sustainable?

Anurag Choudhary: Definitely. These are sustainable margins.

Yash Gupta: Last question on this speciality carbon black forward integration part. Q3 FY26 is intact, we are on time?

Anurag Choudhary: Yes, I have already announced in my commentary that end of Q3 FY26 we will see the commencement of our new speciality facility.

Yash Gupta: So, maybe for Q4 there will be some impact but moreover the full impact will come in the next year only?

Anurag Choudhary: Yes, Q4 you will see some impact and Q1 you will see the full impact.

Yash Gupta: Okay, sure. Thank you, sir.

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Anurag Choudhary: Thank you.

Moderator: Thank you. The next question comes from the line of Rhea Jain from SDA Finance. Please go ahead.

Rhea Jain: Thank you for the opportunity. So, my first question is given the revenue decline and the inventory receivables movement, what is the current working capital cycle and how do you see it evolving in the next two-three quarters?

Anurag Choudhary: See, current working capital is 31% of the top line and we expect this to remain in the same levels.

Rhea Jain: For the next three quarters, right?

Anurag Choudhary: Yes.

Rhea Jain: Got it. Also, looking at the short-term borrowings, we observe an increase of Rs. 300 crores to Rs. 800 crores on a consolidated basis. So, could you please help us understand the rationale behind this rise and what is the target debt-to-equity ratio or leverage level the company is comfortable maintaining?

Anurag Choudhary: So, actually these are commercial papers we have issued against which we have done deposits with banks. So, there is no leveraging we are doing. All the future expansion of the company will be funded through internal accruals only. So, currently if you look at net debt, it is only Rs. 113 crores. And we expect to be cash positive in March in terms of our debt.

Rhea Jain: So, you will be net debt positive in March?

Anurag Choudhary: Yes, definitely.

Rhea Jain: Also, the company achieved ISCC-Plus certification and emphasized sustainability credentials. So, congratulations for that firstly. And could you elaborate on how sustainability initiatives are translating into business advantage like pricing, premium, market access, cost savings and so on?

Anurag Choudhary: Definitely. See, sustainability has been our motto since last more than 15 years when people were not that much focusing on ESG practices. So, IFC Washington, World Bank invested in Himadri in 2009 and after a detailed due-diligence of 14 months, they invested in terms of environmental practices. And we have private equities in our company for last 15 years. So, who are no longer there. But those corporate governance best practices, sustainability practices are embedded in the core of the company now. We have been following these practices over last 14 to 15 years. And the result of this is what you see like over this platinum rating. It is a very

prestigious ranking which only 1% of the manufacturing companies globally have. So, Himadri has a unique positioning among those 1%. Now, regarding when we work so much on sustainability in terms of best environmental practices, in terms of governance practices, in terms of October 24, 2025 Himadri Speciality Chemical Ltd

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of social goals. So, when we interact with our customers, these customers also want these practices to be very strong in their suppliers. Because on their scope to reduction, they have also highlighted about these things. So, that they get an advantage dealing with Himadri. So, following these practices, we get a pricing premium from compared to our peers. That is also one advantage Himadri is having.

Rhea Jain: Right, sir. Thank you so much for taking my questions.

Anurag Choudhary: Thank you.

Moderator: Thank you. The next question is from the line of Raj from Asit Kotecha Family Office. Please go ahead, sir.

Raj: My first question was on the Durofresh brand that we have

launched. So, how are we navigating

the naphthalene ball B2C market with our brand Durofresh? What is our strategy there to grow and gain market share from the existing players? And how big is the market and how much revenue do we expect to make from this market from this business segment in FY27?

Anurag Choudhary: See, we have been selling to this market, not directly, but to others. Like we have been suppliers to Willert, which is the largest mothball player in US for years. 80% of their requirement was met by Himadri. Like that with other players. So, now we did a forward integration by introducing our own mothball. So, the quality of the product has been very well appreciated by the market. We started with a very small capacity to test the market and the results have been very encouraging. So, now we are setting up a larger capacity for which in next 3 to 4 months, equipment will be installed. And then we will see the ramping up in production and sales of Durofresh mothballs. So, next year we expect, in terms of revenue, we will not find significant change, but in terms of profitability because whatever addition will be there, that will directly go to the bottom line.

Raj: And my second question was, we still expect the battery chemical business to contribute Rs. 2,500 crores to Rs. 2,700 crores in revenues in FY28. And have you signed any contract with OEM or a bigger player which would help us to achieve this revenue?

Anurag Choudhary: So, what happened, we have at 100% capacity utilization, we will achieve Rs. 2,500 to Rs. 2,700 crores top line. But whether it will be 28 or 29, we have not made any announcements or commitment on that.

Raj: So just wanted to understand, is the product being accepted or how is the quality of product or some feedback?

Anurag Choudhary: The feedback has been very encouraging and that is the reason we are going ahead with the CAPEX program.

Raj: Okay, got it. Those were my questions. Thank you.

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Anurag Choudhary: Thank you.

Moderator: The next question is from the line of Darshan Shah from M&S Associates. Please go ahead, sir.

Darshan Shah: I have a couple of questions more on the macro front specific to the industry and demand. First was, are you witnessing any demand recovery in Europe and East Asia after there has been recent history of slowdown in demand. So, how is now the demand shaping up there?

Anurag Choudhary: See, for us, demand has been strong only. Reason being that our volumes of carbon black are fully sold. So, we do not see any significant positivity or negativity in the demand side earlier also and even today. For us, the demand remains strong only as before.

Darshan Shah: The natural extension to the question is that the demand remains strong. How do you see the competitive intensity in coal tar pitch and carbon black with new entrants coming in, possibility of new supply and pricing pressures?

Anurag Choudhary: Coal tar pitch, there is no new entrants who are coming in. Because coal tar pitch, for to establish a product also it takes 2 years' time. So, coal tar pitch, I do not see any new players coming in. And if someone comes also, then it will take 2 years first to establish their quality. For carbon black, the existing players are only expanding their capacity. I do not see any new player coming in.

Darshan Shah: So, you see that there is still enough comfortable demand, no problems of larger supply, pricing pressures that you will have to deal with in the market in terms of your clients and customers.

Anurag Choudhary: No, nothing like that.

Darshan Shah: The competitiveness of Indian carbon speciality versus Chinese and Korean producers in the

export market. So, any thoughts on our competitiveness versus the other peers, Chinese and Korean peers?
Anurag

Choudhary: China basically produces carbon black using coal tar oil. And the cost of coal tar oil is higher in China because the cost of coal tar is higher in China compared to India. So, we do not see any competition from China as such in the international market.

Darshan Shah: And Korea?

Anurag Choudhary: Koreans are not that focused on speciality. They are more on the commodity side.

Darshan Shah: Finally, do you expect double-digit growth resumption in FY27 once capacity addition starts contributing?

Anurag Choudhary: Yes. Definitely, we see double-digit growth.

Darshan Shah: Great. That was very helpful, sir. Thank you.

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Moderator: Thank you. The next question is from the line of Preeti from SK Associate. Please go ahead, ma'am.

Preeti: Thank you so much for the opportunity. I would like to know that the revenue for Q2 declined to Rs. 1,071 crores despite strong margins and profit growth. So, among your major product segments like coal tar pitch, carbon black, advanced materials, which saw the largest pressure and is this temporary or structural?

Anurag Choudhary: No, there was no pressure. In fact, if you see the decline, as we clearly mentioned, it was basically because of two factors. Number one, corresponding quarter last year, the average raw material price was 13% higher than current prices, 13% to 15%. So, when the prices came down, the realization also came down. That resulted in lower turnover. In addition to that, there was a significant export volume, which was not considered in this quarter because of cut-off date. It went to the next quarter. So, the volume and the turnover went to next quarter. That was the result. It is nothing to do with any pressure or anything.

Preeti: Understood. And a portion of the revenue was also impacted due to the export orders that were executed during the quarter but will be recognized in Q3.

Anurag Choudhary: —Yes, will be recognized in Q3.

Preeti: So, given your presence in the +50 countries, could you share insight on the overseas demand trends observed in Q2 and highlight the key geographies you expect to drive growth in the second half of the year?

Anurag Choudhary: See, the momentum has been strong and looking forward also, we feel that the demand is going to remain strong only. We are supplying to various geographies like 54 countries globally, we are supplying our materials.

Preeti: Understood. And the crude oil and coal tar derivatives remaining volatile, how effective is your pricing pass-through mechanism in both domestic and export markets?

Anurag Choudhary: 100%. Whether price goes up or down, what difference it will make is only in terms of percentage of margin and in terms of top line. Not in terms of absolute margin.

Preeti: Understood. Alright. Thank you so much, sir.

Moderator: Thank you. The next question is from the line of Santosh Kesari from SK HUF. Please go ahead, sir.

Santosh Kesari: I have just one query and that is about the impact of US tariffs on our exports. So, is that impacting us too much? Who is bearing the duties? Is it the buyer or we are bearing the duties?

How is it happening? If you can also give a detail of demand scenario there.

Anurag Choudhary: See, this is already reflected in our Q2 Results. You can see there is no impact.

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Santosh Kesari: Yes, that is what I am surprised that other players have really, their exports of plateaued and their profits are not as much. But in our case, it is not happening. So, is it the buyers, are the buyers bearing the duties? How is it happening?

Anurag Choudhary: It is because of our non-dependence on a single geography. So, if there is a challenge, we move our product to some other

geography. And the material we supply to said challenged geography

also, that is also of very high quality where the impact is not that much, since the customers want the material. So, that is why we are not getting impacted.

Santosh Kesari: So we are saying that our demand is so huge and we have so much diversity in supplies that we can supply to any geography we can choose.

Anurag Choudhary: Yes, and the volumes are low.

Santosh Kesari: Just need your confirmation, sir.

Anurag Choudhary: Thank you.

Moderator: Thank you. The next question is from the line of Dheeraj Shah from RK Investments. Please go ahead, sir.

Dheeraj Shah: Thank you for the opportunity. I have a couple of questions. So, while the revenue has fallen, margins have improved significantly and PAT margins are also up strongly. Could you break down how much of the margin improvement is due to the product mixture versus the cost control or raw material deal?

Anurag Choudhary: See, because of the raw material prices, there is no impact because that is passed on to the customers, any increase or decrease. But yes, there has been significant improvement in terms of operational efficiency, yield improvement and energy efficiency, waste heat gas treatment and recoveries, which has led to improvement. And in addition to that, what you call high value - added products. So, high value -added products contributed around 65 %-70% and 30% was in account of operational efficiency.

Dheeraj Shah: Understood. Also, secondly, given the stagnation in revenue but improvement in margin, what is your guidance for FY26 growth, perhaps volume or revenue and any margin targets that maybe we could look up to?

Anurag Choudhary: Two quarters is already there. So, you can see, we are already at a PAT of Rs. 369 crores. A year back, we projected to double our profitability from FY24 to FY27 from Rs. 411 crores to Rs. +800 crores in next 3 years. But if you look at the actual performance, we are already on that track in 2 years. So, we are going to deliver what we promised in 3 years and around that in 2 years and third year will be even better.

Dheeraj S hah: And lastly, given the emerging EV ecosystem in India, where do you see Himadri's strategic fit? Would it be as a raw material supplier or as an integrated advanced material player?

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Anurag Choudhary: Definitely, Himadri is going to play a key role in t he EV and ESS storage entire technology ecosystem which is going to play out in India. Because Himadri is going to be the key supplier for raw material components for making lithium -ion batteries. And it is going to play a predominant role in this field in the years to come. We have been investing in this for last over 12-13 years. And it is not that today everyone is talking about lithium -ion that Himadri has started discussing and talking about lithium -ion batteries. You go back to our 10 -12 years back report also, that time also we have been talking and now the fruits of all those investments will results.

Dheeraj Shah: Thank you very much for the opportunity and all the best for the quarter s ahead. Thank you.

Moderator: Thank you. As there are no further questions from the participants, this concludes this conference. On behalf of Himadri Speciality Chemical Ltd, that concludes this conference.

Thank you for joining us and you may now disconnect your lines.

Call: Jan 2026

Ref. No: HSCL / Stock-Ex/2025-26/136
Date: 28/01/2026
E-mail: monika@himadri.com

Ref: Listing Code: 500184
BSE Limited
Department of Corporate Services
P. J. Towers, 25th Floor,
Dalal Street,
Mumbai- 400 001 Ref: Listing Code: HSCL
National Stock Exchange of India Ltd
Exchange Plaza, C-1, Block-G
Bandra Kurla Complex,
Bandra (E)
Mumbai- 400 051

Sub: Transcript of Earnings Conference Call for Financial Performance for the 3rd Quarter and Nine Months ended 31 December 2025 held on Wednesday, 21 January 2026
Dear Sir/ Madam,

Further to our letters dated 17 January 2026 and 21 January 2026 and pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 ("SEBI Listing Regulations") read with Schedule III of the SEBI Listing Regulations and other applicable provisions of the SEBI Listing Regulations, we are enclosing herewith the transcript of earnings conference call for Financial Performance for the 3rd Quarter and Nine Months ended 31 December 2025 held on Wednesday, 21 January 2026 at 04:30 p.m. (IST),

The above information will be made available on the Company's website at www.himadri.com

You are requested to take the same on record.
Thanking you,

Yours faithfully,
For Himadri Speciality Chemical Ltd

(Company Secretary &
Compliance Officer)
ACS: 29322

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"Himadri Speciality Chemical Ltd
Q3 & 9M FY '26 Earnings Conference Call"
January 21, 2026

MANAGEMENT : MR. ANURAG CHOUDHARY – CHAIRMAN , MANAGING
DIRECTOR AND CHIEF EXECUTIVE OFFICER –
HIMADRI SPECIALITY CHEMICAL LTD
M R. SOMESH SATNALIKA – EXECUTIVE VICE
PRESIDENT , TYRE AND STRATEGY – HIMADRI
SPECIALITY CHEMICAL LTD
M R. KAMLESH AGARWAL – CHIEF FINANCIAL
OFFICER – HIMADRI SPECIALITY CHEMICAL LTD

MODERATOR : MR. CHIRAG BHATIYA – MUFG INTIME

Moderator: Ladies and gentlemen, good day, and welcome to Himadri Speciality Chemical Ltd Q3 and 9M FY '26 conference call hosted by MUFG. As a reminder, all participant line will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone.

I now hand the conference over to Mr. Chirag Bhatiya from MUFG. Thank you, and over to you, sir.

Chirag Bhatiya: Good evening, everyone, and welcome to Q3 and 9M FY '26 Earnings Conference Call of Himadri Speciality Chemical Ltd. Today on the call, we have with us Mr. Anurag Choudhary, CMD and CEO; Mr. Somesh Satnalika, EVP, Tyre & Strategy; and Mr. Kamlesh Agarwal, CFO.

Before we proceed with the call, I would like to give you a disclaimer that this conference call may contain forward-looking statements about the company, which are based on the beliefs, opinions and expectations as of today. Actual results may differ materially. The statements are not the guarantees of the future performance and involve the risks and uncertainties that are difficult to predict. A detailed Safe Harbor statement is being given on Page 2 of the investor presentation of the company, which are being uploaded on the stock exchange and the company website.

With this, I now hand over the call to Mr. Anurag Choudhary. Over to you, sir.

Anurag Choudhary: Thank you, Chirag. Good evening, ladies and gentlemen. Thank you for joining us today to discuss the performance of Himadri Speciality Chemical Ltd for the third quarter and 9 months ended 31st December 2025. We sincerely appreciate the continued interest, trust and engagement with the company.

I am pleased to share that we have started trial production of speciality carbon black expansion project, a landmark achievement for Himadri. With this, Himadri has the world's largest single-site speciality carbon black plant with a total capacity of 130,000 metric tons per annum. This milestone underscores our continued focus on high value-added solutions and marks the beginning of next phase of growth in our speciality carbon black journey.

In coal tar pitch, we achieved a key milestone with the commissioning of a Mangalore port terminal, successfully delivering 3,600 metric tons of liquid coal tar pitch to the Middle East. This establishes our second export corridor along with Haldia, significantly enhancing our logistics flexibility and opening up access to new global markets. We are well positioned to cater to rising international demand while offering best-in-class quality and global most competitive prices. Supported by operational excellence, continued improvements in yield and waste heat recovery systems, we continue to drive sustainable profitability.

Our commitment to sustainability was once again reaffirmed as EcoVadis awarded Himadri the platinum medal for a second consecutive year, placing us amongst the top 1% of over 150,000 companies globally assessed on ESG parameters. This recognition reflects our deeply embedded approach to sustainability, anchored in a strong governance, climate conscious, operations, ethical business practices and responsible supply chain management.

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At the heart of Himadri's performance are our people. We are honored to be certified as a Great Place to Work, a testament to the strong and inclusive culture we have consciously nurtured over the years.

The year-to-date has been marked by steady execution and meaningful progress. We have remained firmly anchored on operational discipline, deepening customer relationships and strengthening institutional capabilities to support long-term growth. This consistency of approach continues to deliver results

reflected in our robust financial performance, with PAT growing 41% year-on-year, with 9 months FY '26 PAT exceeding PAT of FY '25.

As we look ahead, we do so with the confidence. What we set out to achieve in FY26 has been realised, and preparations for future projects are already progressing well, laying a strong foundation for sustained and profitable growth.

We have also been actively investing in our rubber plastic and coating laboratories to enhance product performance across critical parameters, such as ease of dispersion, reduced filter press values and improved conductivity lower loading. With the commencement of tyre production and especially the carbon black expansion project, we have significantly strengthened our ability to serve the growing demand of customized and application, especially carbon black grade. This places us in a strong position to address the global requirement for performing enhancing

speciality carbon black used in premium and high-value applications across plastics, inks, high-performance coatings, batteries, paints, wires and cables, fibers, rubber, EV tyres and several other niche applications.

In parallel, our recently launched branded naphthalene ball brand, Durofresh, has received an encouraging response in the retail market, adding further depth to our diversified portfolio.

The first of its kind commercial anthraquinone and carbazole facility in India remains firmly on schedule for Q2 FY '27. This project reinforces our commitment to innovation and import substitution. While aligning closely with government of India's vision of Atmanirbhar Bharat aimed to strengthening domestic manufacturing capabilities.

Over the past 2 years, volume and topline were largely constrained by operating at peak capacity utilization and dynamic raw material prices. With the start of trial production at the speciality carbon black expansion project, along with debottlenecking of our old coal-tar pitch distillation capacity, we are -- now have the necessary headroom to reignite growth in coming quarters and further consolidate our leadership position.

Birla Tyres continues to strengthen its footprint across India and key international markets, including Asia, the Middle East and Africa, supported by a robust and expanding distribution network of 36 distributors and over 640 dealers. Its diversified portfolio now comprises more than 80 products across flagship names such as KalaPatthar, Loader Max, Ultra Grip, Farm Haul, Platina, Shaan+, XPL LG, Roadmiler, Zeta+, BT339, Ultra Trac and many others. Engineered to deliver superior great mileage, durability across varied customer applications.

The team at Birla Tyres continues to scale in both capability and size, with modernization initiative progressing well to enhance offering across of the highway tyres, commercial vehicles, January 21, 2026 Himadri Speciality Chemical Ltd

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agriculture, industrial segments for passenger car radial unit designed specifically for EV and SUV installation of plant and machinery is being planned. This will position Birla Tyres to participate meaningfully in fast mobility segment while complementing Himadri's broader strategic ambitions.

The most transformational chapter in Himadri's journey is our entry into battery materials.

Lithium-ion batteries represent a structural shift in global energy consumption. And anode and cathode materials together constitute for 65% of the total battery cell cost, making materials innovation center to long-term value creation.

On the cathode side, we are focused on lithium-ion phosphate, a chemistry gaining rapid global acceptance, global safety, longevity and cost efficiency. Our long-term vision is to build 200,000 metric ton of LFP Cathode Active Material capacity in phases, catering to approximately 100 gigawatt hour of battery energy demand. The first commercial phase of 40,000 metric tons per annum remains on t

rack for Q3 FY '27, positioning Himadri at the heart of e-mobility ecosystem as the first commercial LFP Active Material plant globally outside China, serving both domestic and international markets across mobility and energy storage applications.

On the anode side, our strong legacy and deep expertise in carbon chemistry provide a clear strategic advantage. We are one of the only company to have backward integration in terms of raw material availability. Intensive research and testing are underway as we progress steadily towards development of comprehensive spectrum of anode solution, including synthetic natural hybrid and silicon carbon-based technologies, thereby strengthening our capabilities in this high growth and strategically critical domain.

As Himadri writes the new chapter in the Himadri reloaded phase, we continue to expand across multiple high-value categories. While speciality carbon black, coal tar pitch, speciality oil and naphthalene remain at our core, we are actively expanding our product portfolio and making sustained investment in research and development to support future growth. At Himadri, R&D is not a department. It's embedded in our DNA. It shapes how we think, operate and deliver value. Over the years, we have built a global R&D ecosystem, bringing together exceptional talent, including PhDs and subject matter experts from U.S.A., Japan, South Korea, China, South America, Australia and Europe. This rich techno-cultural diversity fuels innovation, agility and a forward-looking mindset, enabling us to lead in new technologies and product developments for emerging and sunrise industries.

Our commitment to innovation is further strengthened through strategic investments in Sicona, IBC and Invati, which have enhanced our technological depth, accelerated our innovation pipeline. With the strong synergies between our innovation and research team, we are not only collaborating on new developments and emerging technologies, but have also been leveraging shared expertise to adopt best practices and strengthen our processes across our core verticals. Together, we are developing a sustainable growth engine that is paving the way for our portfolio of innovative products built on cutting-edge technologies. These collaborations have enabled us

to establish a strong joint product development map that leverages our collective expertise across cell chemistry, battery science, material technology and operational excellence. Our shared focus
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is on developing solutions grounded in principles of sustainability and circularity for sunrise sector, such as high performance and high value-added defense applications, drones, AI data center, mobility and many more.

Today, R&D at Himadri goes far beyond product development. It is about advancing technologies, transforming processes and unlocking new possibilities to keep us ahead in a rapidly evolving global landscape. In parallel, we continue to actively leverage artificial intelligence and digital tools across workstreams, procurement, logistics, inventory, material management, quality management, sales and marketing and manufacturing to sharpen execution, improve predictability and build a more agile, data-driven operating model for the future.

This year marks a defining chapter in Himadri's journey, characterized by progress, resilience and purposeful execution. The path we envisioned is unfolding with clarity, and we continue to build on that momentum with confidence. As we look ahead, the horizon is bright, filled with opportunities that will take us to greater heights and unlock new possibilities. Together, we are saving a future of sustained growth and innovation.

Before concluding, I would like to express my sincere gratitude to our colleagues, partners and investors for their continued trust and support. With this, I hand over to our

CFO, Mr. Kamlesh

Agarwal, who will take you through the financial performance in detail. Thank you. Kamlesh, please?

Kamlesh Agarwal: Thank you, Anuragji, and good evening, everyone....

Moderator: I'm sorry to interrupt you, sir, but your voice is breaking.

Kamlesh Agarwal: Now it's okay?

Moderator: Yes. Please go ahead, sir.

Kamlesh Agarwal: Thank you, Anuragji, and good evening, everyone. I trust you have had the opportunity to review our financial results, the latest investor presentation and press release, all of which have been made available on the stock exchanges and on our company's website.

Let me now take you through the financials for the third quarter and nine months ended 31st December 2025.

On a stand-alone basis, we are pleased to share that we have already surpassed our full year FY '25 PAT within the first nine months of FY '26. This outcome clearly reflects the...

Moderator: I'm sorry to interrupt you, sir, but again, your voice is breaking.

Kamlesh Agarwal: Hello? Now it's clear?

Moderator: Yes, sir.

Kamlesh Agarwal: This outcome clearly reflects the effectiveness of our strategic focus on value-added products, which continues to be the key driver of profitability and margin expansion.

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From a quarterly perspective, in Q3 FY '26, stand-alone revenue stood at INR1,133 crores. EBITDA was INR249 crores, registering a 12% year-on-year growth, while profit after tax came in at INR195 crores, reflecting a strong growth of 37% year-on-year increase. These results underscore the consistency of our execution despite a dynamic operating environment.

Looking at the cumulative performance for nine months FY '26 on a stand-alone basis, revenue stood at approximately INR3,304 crores. EBITDA increased to INR726 crores, representing a ~19% year-on-year growth compared to INR611 crores in nine-month FY '25. Profit after tax stood at INR564 crores, marking a 41% year-on-year growth over approximately ~INR400 crores in the corresponding period last year.

Now turning to our consolidated performance in Q3 FY '26. Revenue stood at INR1,184 crores, with EBITDA at ~INR253 crores compared to ~INR225 crores in Q3 FY '25, reflecting a 12% growth...

Moderator: Sorry, but -- I'm sorry to interrupt you, sir. Again, voice is breaking.

Kamlesh Agarwal: Yes...

Moderator: Sir, again, it's breaking.

Kamlesh Agarwal: Hello. Am I audible now? Now my voice is clear?

Moderator: Yes, yes. It's clear now.

Kamlesh Agarwal: Profit after tax came in INR192 crores, registering a growth of 36% against INR141 crores in Q3 FY '25.

For nine months FY '26 on a consolidated basis, revenue stood at approximately ~INR3,373 crores. EBITDA was ~INR726 crores, reflecting a growth of around 18%, while profit after tax stood at ~INR548 crores, a 37% increase over nine months FY '25. This performance highlights the strength and resilience across all our business segments.

From an operational perspective, our sales volume for nine months FY '26 stood at 428,572 metric tons as compared to...

Moderator: I'm sorry to interrupt you, sir, but again, your voice is breaking. No, no. We can't hear you properly, sir.

Anurag Choudhary: So, let me take it over. Anurag here. Kamlesh, let me take it over. Am I audible?

Moderator: Yes. It's loud and clear from your end.

Anurag Choudhary: From an operational perspective, our sales volume for the nine-month FY '26 stood at 4,28,572 metric tons as compared to 4,15,679 metric tons in the previous year, reflecting a growth of 3%. EBITDA per metric ton stood at INR 16,934 in 9 months FY '26 compared to INR 14,707 in nine months FY '25, representing a 15% improvement, driven by product mix that remains increasingly focused on high value-added offerings.

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I'm also pleased to share that during the quarter, the promoters have further strengt

hened their

stake in Himadri to conversion of one crore warrants into equity. The warrant are acquired at a total price of INR316 per warrant. Promoter shareholding now stands at 52.5%. This development underscores the promoter's continued confidence and long-term commitment to Himadri's growth journey.

Strengthening promoters' stake not only enhances the company's capital structure, but also demonstrate the immense faith in our business as we embark on the next phase of expansion and value creation for all our stakeholders. Overall, these results reinforces our confidence that Himadri is well positioned to continue its upward journey and trajectory, supported by a strong financial foundation, disciplined execution and a clear strategic direction.

So now Chirag, we can open the session for question-and-answer session.

Moderator: Thank you so much, sir. Ladies and gentlemen, we will now begin with the question-and-answer session. Our first question comes from the line of Divyansh Thakur from Finterest Capital. Please go ahead.

Divyansh Thakur: Sir, congratulations on the great set of numbers. So we have mentioned the roadmap to grow and accelerate towards 2028. So how do we vision that? How do we scale it up? We start our operations for the Phase 1 cathode in quarter 3. We have also Birla Tyres gradually ramping up. So how do we see the coming years? And how do we -- can shape the development for the company going ahead?

Anurag Choudhary: Thank you, Divyansh. So, if you look at the profitability achievements for FY '24, we achieved a PAT of INR 411 crores. And in FY '25, we gave a guidance that in next 3 years, that is by FY '27, we'll double the PAT, effectively INR 800 crores plus. But if you look in FY '26, we are already nearing to the target.

So now, FY '25, we had a PAT of around INR 558 crores. With all these projects coming in, with new capacities coming in, value-added products coming in, we are confident that the profit will again double from FY '25 to FY '28, so in 2 years from now.

Divyansh Thakur: So sir, what you are saying is that the PAT level of FY '25, when we'll see the PAT level of FY '27, it will double. Am I right?

Anurag Choudhary: FY '28.

Divyansh Thakur: Okay. Okay. Okay. FY '28. But also the...

Anurag Choudhary: So we are giving the guidance what we gave 1 year back. We are giving the same guidance which we gave 1 year back. When we articulated that PAT will double in 3 years, same thing we are saying again now 1 year fast forward, the PAT will double again in 3 years from FY '25 to FY '28. Only one disclaimer is that last time when we told it will be done, it was done in 2 years instead of 3 years.

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Divyansh Thakur: That's great, sir. Sir, also, I wanted to get a look out on how the cathode active material or the operations that are coming, I think this is the first one in India to come up. And also there, I saw some headlines that you are in talks with some large players. So if you can give some more information on that?

Anurag Choudhary: Sure, definitely. So in terms of cathode, our demo plant is under construction and expected to

commence in the fourth quarter. And post that, we will be sending sample 'B' to our customers. There are a series of samples will need to be approved by the customers. So next stage of sampling will start.

Divyansh Thakur: Sir, can you name some customers?

Anurag Choudhary: Hello?

Divyansh Thakur: Hello. Am I audible?

Anurag Choudhary: Yes, yes. You are audible. Please.

Divyansh Thakur: Sir, can you name some customers?

Anurag Choudhary: No, we cannot name some customers. They are global customers, plus India customers, we have NDAs. So we cannot disclose the names here on public forum. And regarding the capacities for lithium-ion phosphate, so we expect FY '29 to be the full year of operation for lithium-ion phosphate.

Divyansh Thakur: Okay, t

hat's great, sir. That's all from mine and all the best for the coming quarter.

Anurag Choudhary: Thank you.

Moderator: Thank you. Our next question comes from the line of Dhruvin Kadakia from SKP Securities.

Please go ahead.

Dhruvin Kadakia: Hello, sir. Congratulations on a great set of numbers. Sir, I just wanted to begin with 3 small questions on our quarterly results, and then I'll join the queue. My first question is, sir, with regards to our EBITDA per ton, sir. So in this particular quarter, when I did my calculations for EBITDA per ton, I have noticed that we've seen a decline on a sequential basis despite our revenues, etc., which has seen a growth, so I wanted to understand the reason behind it.

Second, I wanted to understand the sporadic increase in the total income -- in the other income, sorry. Other income has almost grown by 290% on a year-on-year basis. And last question would be with respect to what are the tyre sales that we've made for this particular quarter? That's all.

Anurag Choudhary: So regarding EBITDA per ton, if you look at it, it is more or less in line because depending on quarter-to-quarter, the number changes, but it's very minimum. So that is the level where it is more or less stabilized now. For other income, so we have made investment in IBC, in which we have made -- got this investment at a comparatively much lower cost.

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So some of the valuation has been done as per the accounting standard. Because of which, there has been some increase in the other income other than the investments that we have made. So if you look at -- we have borrowed a significant amount of money. At the same time, we have invested in banks. So that interest is also there.

Dhruvin Kadakia: Okay, sir. And last was regarding tyre sales for this particular quarter, like where do we stand currently? And how much do we expect to end the year in terms of our Birla Tyres revenue-wise?

Anurag Choudhary: So revenue-wise, we have -- the current quarter, we have already achieved INR60-plus crores of revenue. And looking forward, we expect the momentum to strengthen further. And this -- from the next year, you will see capacity ramp-up taking place in Birla Tyres.

Dhruvin Kadakia: All right, sir. Thank you so much. I'll join the queue. Thank you.

Moderator: Thank you. Our next question comes from the line of Smaran from Money Stories Asset management. Please go ahead.

Smaran: Hello. Good evening, team. So my question was regarding the cathode capacity that we are targeting. So since we are targeting about -- to cater about 100 gigawatts worth of cathode, so is it that we expect a huge market share in India and globally? Or is it that we are trying to capture a huge size of market share?

Anurag Choudhary: Your question is not clear. Can you repeat it, please?

Smaran: Okay. So I was asking about the cathode capacity which we are targeting, which is about 100 gigawatts worth of -- gigawatt per hour, which we are targeting, right? So is it that we are expecting a huge market? Or is it that we are trying to capture a huge market share? So I wanted to understand which one is it.

Anurag Choudhary: So it's not that we are going to capture a huge market share. FY '30, the global lithium-ion cell capacity will be 8,000 plus. And by that time, we are only targeting 100, which is absolutely nothing in terms of global demand. So actually, first time Himadri is going to be in a product where demand will not be a constraint. So growth will depend upon our ability to expand. So this will be a unique positioning for the company.

Smaran: Okay. Got it. And how do you place ourselves in terms of cost competitiveness within India or else comparatively to China as well?

Anurag Choudhary: We'll be very much cost competitive to any geography in the world.

Smaran: Okay. Just one last question was that were you -- how are you planning

on your sourcing of raw materials for the new lithium-ion phosphate?
Anurag Choudhary: How much?
Smaran: How are you planning on sourcing our raw materials for the cathode part of it?
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Anurag Choudhary: So, we'll be sourcing from the global market, including Latin America, Australia, China. So where we will get the best, we'll take the raw materials.
Moderator: Our next question comes from the line of Pratik Shah from Investing Alpha.
Pratik Shah: Sir, my first question is on the post recent warrant conversion, how does management view equity dilution going forward? Like will future growth be primarily debt funded or accrual driven?
Anurag Choudhary: So, the entire growth which is going to come for the next 3, 4 years are from internal accruals. So, there is going to be no dilution as far as Himadri is concerned. So if you look at shareholding also in the last 3 years, we have increased our stake by 10%. So, we won't see any dilution coming forward. And there will be no debt, which will be taken. It will be internal accruals.
Pratik Shah: Great. Great. Okay. And sir, my second question is, what are the key execution risk during the ramp-up phase at Mahistikry? And how is management ensuring that quality consistent is maintained by scaling volumes?
Anurag Choudhary: We have a very strong SOP for the projects and for operations. So, which ensures that under no circumstances, there is any impact or contamination from the ongoing projects. It ensures there is no problem as far as the quality or consistency is concerned.
Pratik Shah: Okay. Got it. And sir, one last question. Historically, how long has it taken for Himadri to ramp up speciality capacity to optimal utilization? And should we expect a similar or shorter curve for the new facility as well?
Anurag Choudhary: Yes, definitely. To ramp up to the capacity, it will take around 3 to 6 months.
Moderator: Our next question comes from the line of Ishani Jain from MAS Capital.
Ishani Jain: My question to you is like with energy being a significant input, so what proportion of power is sourced internally or like through long-term agreement? And how does this influence margin?
Anurag Choudhary: So, we source 100% of power through our waste heat gas capturing plant, where we convert gas into power. So Himadri is using clean power for all its operations.
Ishani Jain: Okay. Sir, got it. Also, like at what stage does management gain confidence to commit capex and energy materials? But it means post customer qualifications or post binding offtake agreements?
Anurag Choudhary: We don't wait for binding offtake agreement. We have full confidence in our quality and our customer relationship. So, with the quality reason, we start setting up that capacity. So, qualification process, in the same time, we are setting up the capacity. Because unless you have the full non-commercial plants, you will never get approvals.
Ishani Jain: Okay, sir. Also, my last question will be like in speciality carbon black, how much of the recent sizing has been formula-linked versus like negotiated contracts?
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Anurag Choudhary: So, it depends on customers to customer. I cannot disclose the pricing policy. But yes -- but I can tell you, speciality carbon black has a much better margin than commodity black, and Himadri specializes in this segment.
Moderator: Our next question comes from the line of Viraj Sanghvi from Asit Koticha Family Office.
Viraj Sanghvi: So, we have seen some fall in EBITDA per ton on quarter-on-quarter basis. So is this to do with some change in product mix because we have also expanded the coal tar distribution capacity by 1 lakh metric tons. So is that the reason there is some fall in EBITDA per kg?
Anurag Choudhary: Viraj, if you see there is hardly -- it was ~17,900, it has come to 16,000 something. So there has not been much difference. So you will find this kind of variation on a positive or negative side on a quarter-on-quarter basis, but. This doesn't have any significant importance or significance.
Viraj Sanghvi: Okay. Got it. And this coal tar facility that we have expanded by 1 lakh metric ton, what is the utilization for that in this quarter?
Anurag Choudhary: No. This we have just started. So over the next 2 to 3 quarters, you will see the ramp up happening. So it will take like Q1 FY '27, you will see the ramp up happening.
Viraj Sanghvi: Okay. And what about the speciality black capacity that we were to expand from 60,000 to...
Anurag Choudhary: Yes, you will see the ramp up happening from the next financial year. Q4, there will be some ramp-up happening, but you will see the results -- full results coming from in the next financial year.

Viraj Sanghvi: Got it. And from the Birla Tyres business, what sort of EBITDA margin are you making on the INR60 crores revenues for the quarter?

Anurag Choudhary: So currently, in our -- since we are selling -- so we have a partnership with Dalmia Refractory Bharat Limited in Birla Tyres. So in Himadri, in Himadri Clean Energy, we are buying from Dalmia Refractory and selling the Birla Tyres. So we don't have any positive or negative impact as such as of now. But looking forward, the things will change.

Moderator: Our next question comes from the line of Animesh Jain from Dalal & Broacha.

Animesh Jain: I just wanted to understand that with the fluctuations that are expected in lithium prices going forward, how do we see that affect our margins? Will we be absorbing those? Or will we see that it has a pass-through for us?

Anurag Choudhary: See, the kind of fluctuation, which is there in lithium, it can never be absorbed. So all the customers will be having a pass-through model in which the pricing, up and down, will be transferred to the customer. Same business model we follow with our existing products also like for coal tar pitch or carbon black. So same will follow for lithium also.

Animesh Jain: Okay. Sir, that would be a full pass-through, right?

Anurag Choudhary: Yes, it's a full pass through.

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Animesh Jain: Okay. And sir, my next question would be on our cathode facility, how would we see a ramp -- how would we see utilization going forward for the next 1 or 2 years?

Anurag Choudhary: So next 1 or 2 years, there will not be significant ramp -- utilization. I see utilization coming in -- some utilization will be there in FY '28. But yes, big utilization will come in FY '29.

Animesh Jain: Okay. And sir, in '29, what kind of...

Anurag Choudhary: If you ask me FY '29, I see full capacity utilization.

Animesh Jain: Okay. Got it. So sir, what kind of asset turn would we be looking at a full capacity utilization?

Anurag Choudhary: 2 plus.

Moderator: Our next question comes from the line of Dhruvin Kadakia from SKP Securities.

Dhruvin Kadakia: Sir, my question was regarding our traditional -- the coal tar pitch business. So just wanted to understand from an industry perspective or from a business perspective, how do you expect them going forward? Like is it becoming structurally declining? Or do you still see it like a very significant growth driver for your cash flow generation?

Anurag Choudhary: That model has really matured over the last 5 years. And we expect the business to have sustainable profitability because we have done a lot of work in terms of operational efficiencies.

Waste heat recovery system, improvement of yield and these are giving us long-term sustainable profitability.

Dhruvin Kadakia: Okay, sir. So my last question would be regarding to our recent speciality carbon black expansion that we have done. Just wanted to understand like on a year-on-year basis, how -- what is the trend of this capacity utilization like on a year-on-year

basis, how do we expect this

capacity utilization to increase, if you could give like a 1 year to 3-year breakup, if possible?

Anurag Choudhary: So for the next year, you can look at around 85% capacity utilization for speciality carbon.

Dhruvin Kadakia: Okay. And post that we are on like almost 95% 100 % types?

Anurag Choudhary: Yes.

Dhruvin Kadakia: All right, sir. That will be all. Thank you so much.

Moderator: Thank you. Our next question comes from the line of Priti Agarwal from SKS Associates.

Priti Agarwal: Yes. Thank you so much for the opportunity and also congratulations on the new Mangalore port. I wanted to know that is this new port going to focus on Middle East itself or can we expect more geography diversions such as Africa?

Anurag Choudhary: So this will be mainly focused on Middle East only because of the proximity to Middle East.

And for other geographies, we already have Haldia port to cater to that.

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Priti Agarwal: Understood. And the research and development investments remain elevated. So how should investors assess returns on the spend, like other defined KPIs or commercialization time lines that are being targeted?

Anurag Choudhary: R&D has been the core of the company for years now. So, we are one of the companies in India who spend a lot of money on research and development and innovation. This is -- and this has only brought us to a place where we are in terms of not only product, process and technology, but it goes much beyond that.

So for Himadri, currently also, we are working on many new products. And in the next 1 year

to 2 years, we'll see a lot of new announcements for commercialization coming in for high value-added products. In our case, R&D is not only an academic thing with no KPI -- in our R&D, we have defined the performance metrics in a very articulate manner, which means within a given time frame, you have to achieve a particular result.

And it cannot be ever-ending project and that is the biggest strength of the company. All our technologies in Himadri have been developed in-house. That's the beauty of the company. We have not bought any technology from any technology supplier for any of our products. So looking forward also, you will come across a lot of new products coming in the next 2 to 3 years.

Priti Agarwal: And also, can you give an update on the new tyre launch on Birla Tyres segment like are we diversifying from the passenger car radical and also what is your long-term plan for this?

Anurag Choudhary: See Birla tyre currently is not into passenger car tyres. Birla Tyre is basically -- was into TBB segment, bias segment and a little bit in agriculture and has good -- some position in mining tyres. So what we are doing, we are strengthening and expanding our OTR and OHT segment. So the idea is that over the next 3 to 5 years, we will have significant presence from Birla Tyres in these two segments. And that is how we are revamping, modernizing, making automation, getting new machineries, getting the right people, all the resources in place in Birla Tyres. In addition to that, in future, we will be launching passenger car tyres, which will be focused on SUV and EV.

Priti Agarwal: Understood. Yes that's it from my side. Thank you so much.

Moderator: Thank you. Our next question comes from the line of Rohan Baranwal from Arihant Capital.

Please go ahead.

Rohan Baranwal: Hello. Sir, as you've shared the details on the demand of cathode...

Anurag Choudhary: Actually my line got disconnected. My line got disconnected. I was not able to listen to your question. Can you please repeat it?

Rohan Baranwal: Sure, sir. My question was on the side of cathode, sir. So -- the demand of globally and domestically. So what is the demand scenario on the anode side, sir? Like on the global, [inaudible 0:46:21] like what is the expectation domestically [in

audible 0:46:25]?

Anurag Choudhary: Your question is on cathode or anode?

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Rohan Baranwal: Sir, like what is the demand expectation for anode domestically, sir?

Anurag Choudhary: Anode, not cathode?

Rohan Baranwal: Yes, sir, anode.

Anurag Choudhary: So, see, Himadri is going -- is positioning itself in our new age industry. For the first time, we are going to be in a business where demand will not be a constraint. See, till now, we have been in the industry where demand has always been the deciding factor of our expansion, and that's a limiting factor.

When it comes to lithium-ion cell industry, so the growth is exponential. And in the next 3 years, there has been significant growth in terms of cell manufacturing capacity. And first time in our entire history that we are going to address a market where demand will not be a constraint for either anode or cathode.

Anode consumption will be higher than cathode only because of lithium, LFP, I'm talking particularly. In terms of absolute volume, LFP cathode is 2x of anode. But anode is used in all the chemistries unlike cathode. Cathode has different chemistries, right? A CLA for electronics, NMC is part of the chemistry, then LFP is there.

So each chemistry has their own market share. LFP market is increasing every day. But anode remains constant throughout this chemistry, whichever chemistry is being used. So, anode demand is very strong in India and globally.

Rohan Baranwal: Okay, sir. And sir, my second question was on coal tar pitch, sir. So, you've done your first shipment to Middle East. So, we can see the demand from Middle East side to be strong. What is the scenario in the other parts of the world, like Europe, sir? As we see, European region has faced energy cost crisis. And because the [inaudible 0:48:37] the peer companies like was [inaudible 0:48:40]. So, how do you -- how you are able to benefit from that [inaudible 0:48:49]?

Anurag Choudhary: See, we are not at all focused on European market. We have clear focus on Middle East market because after China, Middle East is the single largest manufacturing base for aluminium industry. And Himadri is well-positioned to cater to meet their requirement. So, our focus is clear. We don't want to go to Europe as far as coal-tar pitch is concerned.

Rohan Baranwal: Got it, sir. Thank you.

Moderator: Thank you. Our next question comes from the line of Disha from Sapphire Capital. Please go ahead.

Disha: Hello?

Moderator: Yes, yes, Disha, please.

Disha: Am I audible?

Moderator: Yes, you are.

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Disha: Yes. So sir, for this battery expansion that we are planning, what sort of EBITDA margins do we see here? And how does that differ from our regular business?

Anurag Choudhary: See, for looking at Himadri, I'll give you a very basic thumb rule, what we look at in our company at Board level that we have -- what is the return on capital employed. If you look at my existing business, the return on capital employed is 34%.

So, capital allocation is very, very critical and important metrics for us in Himadri. So we do not allocate capital to any business where ROCE is less than 30%. That is the main object. And basis that principle, all our investment is guided.

Disha: Okay, all right. And for this Phase 1, I think, is coming by Q3 FY '27, right?

Anurag Choudhary: Yes, yes, yes. But don't expect any ramp-up or capacity utilization in the next 1.5 years.

Disha: Okay. So, then I think from beginning FY '29?

Anurag Choudhary: Yes, that's what I gave a clear guidance. FY '29 will be the year for LFP.

Disha: And how much are we owed in the capex that we are spending for Phase 1?

Anurag Choudhary: INR1,125 crores.

Disha: INR1,125 crores. And asset turn of around, I think you said 2 -- more than 2x, right?

Anurag Choudhary: 2, 2 plus, 2 plus.

Disha: Okay. Okay. That's it from my side. Thank you.

Anurag Choudhary: Thank you.

Moderator: Thank you. Our next question comes from the line of Yashwanth Gottipati from KR Choksey Securities. Please go ahead.

Yashwanth Gottipati: Hello. Am I audible?

Moderator: Yes, sir, you are.

Yashwanth Gottipati: Yes. So good evening, sir. My question is regarding anode materials. So, if you can give us the numbers for the capex that we are going to undergo for this anode material development, what is the capacity? And what is the premium which we'll be charging over products such as performance-driven anode materials? So, if you can show some light over that whole anode project.

Anurag Choudhary: I was not able to listen to your question, my line got disconnected. Can you please repeat it?

Yashwanth Gottipati: Okay. So, my question was regarding the anode materials project. So, if you can give us some numbers regarding the capex for that anode material development, the capacity, which would

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come live, as well as the premium which we would be charging a rough estimate for anode material over the normal synthetic composite graphic.

Anurag Choudhary: See, first of all, we have not announced any capex as of today on anode material. So, we are in the process of finalization. Once we finalize, we'll come up with the capacity number and the capex numbers.

Yashwanth Gottipati: Okay. Okay. Understood. And roughly, sir, I mean the premiumization, how much percentage would be a ballpark number for carbon silicon composites, which we would be catering to performance-driven applications over the cost-driven applications?

Anurag Choudhary: So, there is no point discussing the premium. As I told you, because knowing the premium will not be able to calculate anything unless you know the capacity. So, you can Google it and you will get the selling price of silicon carbon compared to synthetic carbon, anode...

Yashwanth Gottipati: Okay, okay. Understood, sir. Yes, that would be all from my side. Thank you.

Anurag Choudhary: Thank you.

Moderator: Thank you. Our next question comes from the line of Devanshi Shah from HUF Capital. Please go ahead.

Devanshi Shah: Hi. Thank you for the opportunity. So, I wanted to understand how does Himadri's cost structure and technology road map compared with established Chinese players in LFP and anode? And where does the management see its competitive moat?

Anurag Choudhary: See, in China, if you look at LFP chemistry, it has really evolved over the last 5 years. The work has been going over the last 15, 18 years, but the ramp-up of volume has taken -- really placed in the last 4 years. And the advantage of Himadri is that we have been in this industry for the last 17 to 18 years. If you go back and look over at our annual reports, we have been talking about lithium-ion batteries from the day when no one where they've been knowing about lithium-ion batteries, not much people were knowing.

So that time, we had the vision that lithium-ion battery is something which is going to be a game changer for future. There were many chemistries. The best thing is there were -- still, there are many chemistries. But at that point of time, 18 years back to point out that, yes, this chemistry is going to be the game changer is a big thing. Today, everyone can say, but 18 years back to tell this thing was a big thing, so that is what we did.

And I have been personally engaged, and very closely monitoring the development of raw material component of this industry over the last many, many years. So, I have very strong relationship and very strong team, which is working on it, and we are absolutely confident. We'll be very strong in terms of our quality of the product, specific cases to meet the requirement of the customers and very much competitive. Plus, we have the India advantage compared to our peers in the ot

her geography.

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Devanshi Shah: Right. Sir, got it. That was helpful. Also, could you share insights on demand trends across key export geographies, such as Europe, US, Asia, particularly in the context of global industrial slowdown and inventory normalization?

Anurag Choudhary: By the time our product launches, all the inventory normalization, in fact, in LFP has already happened. If you see the correction of lithium-ion prices, has corrected by 75% over the last 2.5 years -- 3 years by 75%. So, all inventory, write-off, collection, all those things has already happened. There's nothing left to be collected. So now there will be fair competition, which is going to be there.

And global demand is -- global capacity of lithium-ion battery cells is going to be on 7,500-to-8,000-gigawatt hour from current 2,500. This gives huge -- possibility for huge ramping up of capacities and huge demand for cathode and anode material. And company will be producing the best in quality, meeting all the global standards, will outline others. That is coming out very clear because the single factor for meeting the requirement of this huge growth which is coming will be the raw material component.

So everyone is selling capacity, but raw material is limited. So that will be a single critical factor which will be the game changer. And Himadri has through -- what makes Himadri different?

And in terms of lithium ion capacities also capabilities also. If you look at our R&D setup, we have joined hands with Sicona, having facility in Australia.

Our team is working hand-in-hand with the Sicona team for new developments. We have taken a stake in International Battery Company headquartered in California, having a state-of-art AI-based research and development center in California and a manufacturing facility in South Korea for cell manufacturing, and they are working on Himadri components for making cells.

So, they have already launched Prabal 1,000 prismatic safe cell using NMC and anode material.

Now they are going to launch Prabal 2,000, which is -- using Himadri anode material and Himadri's lithium-ion phosphate. So, this gives Himadri a unique positioning compared to any of the peers globally where we don't have only the laboratory capabilities. We have the full-fledged cell manufacturing facility available in South Korea, where you can practically see the cell being manufactured. So, it's no longer a laboratory-type thing we are talking.

In addition to that Prabal 3,000 will be launched, which will be using silicon carbon made by Himadri. So this gives Himadri a unique positioning. And the first mover's advantage in this industry, being in this industry for so many years, it's not that today, everyone is talking about lithium-ion battery, so we have started lithium-ion batteries.

Devanshi Shah: Got it, sir. Understood. Thank you very much and all the best.

Moderator: Thank you. Ladies and gentlemen, that was the last question for today. I would like to hand the conference over to Mr. Anurag Choudhary for closing comments. Thank you, and over to you, sir.

Anurag Choudhary: Thank you, Chirag. Thank you, everyone, for joining the Q3 FY'26, 9-month conference call of Himadri Speciality Chemical Ltd. We appreciate your time, continued interest and engagement, January 21, 2026 Himadri Speciality Chemical Ltd

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and hope we have addressed your queries satisfactory. At Himadri, our focus remains firmly on creating sustainable, long-term value for all our stakeholders.

We are deeply committed to our transformational journey, driven by high-quality products, disciplined execution and an unwavering emphasis on innovation, environmental responsibility and health and safety. We are confident that the strategic direction outlined today will continue to support resilient growth and deliver enduring value.

Before

we conclude, I would like to once again thank our team members, partners, investors, for their trust and continued support. Could you require any further information, please feel free to reach out to our Investor Relations adviser, MUFG Intime IR. Thank you. Have a good day.

Moderator: Thank you sir. Ladies and gentlemen, on behalf of Himadri Speciality Chemical Ltd, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: May 2026

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